

UK AUTHORISED FUNDS · UCITS AND NURS

Fund Liquidity Risk Management

A practitioner's handbook to FCA PS26/17 — what the rule says, why it exists, what to tell your CRO, and exactly how to implement it

In force 1 February 2027. Transitional provisions expire 1 August 2027.

Scope: UK UCITS schemes and non-UCITS retail schemes. Money market funds are largely carved out — see Module 18.

Sources: FCA PS26/17 and instrument FCA 2026/54 · COLL 6 Annex 5 · COLL 6 Annex 6 · IOSCO anti-dilution LMT guidance and the May 2025 LRM recommendations · FCA liquidity multi-firm review (July 2023)

Date: 3 September 2026

How to use this handbook

Everything after the orientation section is built as **eighteen modules, one per obligation**. Every module has the same seven blocks, in the same order, so you can read one in four minutes and act on it the same day.

Block	What it gives you
The rule	The Handbook text, verbatim and trimmed to what binds. If you quote one thing, quote this.
Why it exists	The failure it prevents, in plain terms. This is what makes the requirement stick in your head and what makes it defensible when someone asks why you are spending money on it.
What you must do	The ask, reduced to numbered actions. No commentary.
Say this to your CRO	Three sentences you can use verbatim in a committee. Written to be spoken, not read.
Example	One clean, arithmetically correct illustration on a single running fund, chosen to show <i>why</i> the rule is needed rather than merely how it works.
Implement	Either the model steps — with the exact Bloomberg LQA fields and overrides — or the policy clause to adopt. Usually both.
Evidence for the file	What a supervisor will ask to see. If you have this, the module is closed.

THE RUNNING FUND — MANAGED LINE BY LINE

Fund A — Multi-Asset Income Fund, UK UCITS, single-priced, daily dealing, valuation point noon, **NAV £500m**. It is set out position by position, because that is the only level at which liquidity actually exists: you sell each line into its own order book, and one holding's depth does nothing for another's.

Line	Type	Position	% NAV	One-day capacity	Days to liquidate	Half-spread	Impact at one day's capacity
Cash and near cash	Cash	£45m	9.0%	—	same day	0.5 bp	—
Global mega-cap A (US listed)	Equity	£42m	8.4%	£40m	1.1	2.0 bp	6 bp
Global mega-cap B (EU listed)	Equity	£38m	7.6%	£28m	1.4	2.5 bp	7 bp
UK large cap	Equity	£35m	7.0%	£9m	3.9	4 bp	10 bp
UK mid cap	Equity	£22m	4.4%	£1.4m	15.7	12 bp	22 bp
European small cap	Equity	£15m	3.0%	£0.6m	25.0	25 bp	40 bp
UK AIM holding	Equity	£8m	1.6%	£0.16m	50.0	60 bp	80 bp
UK gilt 2031	Bond	£65m	13.0%	£50m	1.3	2 bp	2 bp
US Treasury 2030	Bond	£35m	7.0%	£40m	0.9	1.5 bp	1.5 bp
IG corporate — benchmark issue	Bond	£45m	9.0%	£8m	5.6	18 bp	14 bp
IG corporate — small issue	Bond	£30m	6.0%	£3m	10.0	28 bp	22 bp
High yield corporate	Bond	£30m	6.0%	£1.5m	20.0	60 bp	55 bp
EM sovereign (hard currency)	Bond	£20m	4.0%	£2m	10.0	45 bp	40 bp
Developed equity ETF	ETF	£45m	9.0%	£30m	1.5	3 bp	4 bp
High yield bond ETF	ETF	£25m	5.0%	£5m	5.0	20 bp	25 bp

Overlay, used in Module 15: £450m notional interest rate swaps (DVo1 £405k per basis point), £80m FX forwards, £120m gilt repo financing.

THE TWO DEFINITIONS EVERYTHING ELSE IS BUILT ON

One-day capacity is how much of that line you can sell in a normal day without moving past the quoted spread. For exchange-traded lines it is **20% of that security's own average daily traded value** — your participation cap, not the whole market. For bonds it is the size dealers will absorb in a day at around the quoted spread, which is a function of issue size, age and sector, not of any exchange volume. So the UK large cap trades £45m a day and its capacity is £9m; the gilt has no exchange volume at all and its capacity is £50m.

Days to liquidate is simply $\text{position} \div \text{one-day capacity}$. It is the number that converts a portfolio decision into a redemption promise: the UK mid cap is 15.7 days, the AIM holding is 50 days, and the fund deals daily. This is the measure COLL 5.2.7BG(2)(b) asks for — "how the scheme's holding ... compares to the average daily volume of trades in that transferable security" — and it is computed per line, never for a sleeve or an asset class. Aggregating destroys it: measure £160m of equities against combined equity market turnover and the fund looks liquid in hours, while the AIM line still takes ten weeks.

Cost model used throughout: $\text{cost} = \text{half-spread} + A \times \sqrt{(\text{trade} \div \text{one-day capacity})} + \text{commission}$, where A is the impact incurred when you trade exactly one day's capacity. One formula covers equities, bonds and ETFs because each line carries its own spread, capacity and impact coefficient. Bloomberg LQA supplies the same three quantities per security. Figures are illustrative but internally consistent; every derived number in this handbook follows from this one table.

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A. What changed — the whole reform on one page

On 13 August 2026 the FCA published **PS26/17** with the made instrument **FCA 2026/54**. It implements the IOSCO May 2025 liquidity recommendations for UK authorised funds. It is short, and it is not a rewrite — the FCA considers the existing framework broadly sound and has made targeted changes. Eleven of them matter.

#	Change	Provision	Status	The point of it
1	Every AFM must have an anti-dilution mechanism, with policies and procedures governing it	COLL 6.3.7AR	RULE	Availability stops being optional. Discretion survives on <i>when to activate</i> , not on <i>whether to have</i> .
2	Dual-priced funds are brought into the anti-dilution regime	Glossary "dilution"; 6.3.7AR(2)(b)	RULE	They inherit prospectus, record-keeping and annual-review duties they never had.
3	Annual retrospective assessment of anti-dilution decisions	COLL 6.3.8BR	RULE	Covers decisions to apply <i>and to refrain</i> . The most auditable new deliverable in the instrument.
4	Calibrate on a pro-rata slice of the whole portfolio, including market impact	COLL 6.3.7CG	GUIDANCE	Ends cash-first calibration. This is where most of the implementation cost sits.
5	The listed asset presumption is deleted	COLL 5.2.7AR(2)(a)	RULE	Admission to trading becomes evidence, not an answer.
6	Four named factors for assessing a security's liquidity	COLL 5.2.7BG(2)	GUIDANCE	Turns the eligibility test into something measurable.
7	Recently issued securities: admission within 20 business days, not a year	COLL 5.2.8R(3)(e)	RULE	Needs a hard system control with a reclassification consequence.
8	Stress testing under normal <i>and</i> exceptional conditions, unconditionally	COLL 6.12.11R(2)	RULE	The words "where appropriate" were struck out.
9	Reverse stress testing loses its "where appropriate" qualifier	COLL 6 Annex 6.22, 6.24–6.27	GUIDANCE	The FCA calls it "one of the most important stress tests that can be performed" and has supervisory work under way on it.
10	A guidance annex on liquidity risk management systems	COLL 6 Annex 5	GUIDANCE	The FCA's written model of a competent liquidity function: bucketing, thresholds, governance, tools, collateral.
11	A UK version of the ESMA stress testing guidelines, in the Handbook	COLL 6 Annex 6	GUIDANCE	Includes a twelve-point contents list for your stress testing policy and a quarterly baseline frequency.

What the FCA deliberately did not do: prescribe activation triggers or swing factors (a fixed trigger "could allow certain investors to predict and exploit the use of ADTs"); require reporting of swing factors or trigger levels; exempt feeder funds; change soft-closure notice; add new investor-disclosure rules; or extend the new annexes to money market funds.

B. Dates, and what must be true when

Date	What has to be true
Now → Jan 2027	Gap analysis; policies drafted and approved; materiality thresholds set per fund; the vertical-slice calibration engine built and parallel-run against your current method with the difference quantified; the 20-business-day control built; eligibility templates rebuilt; committee terms of reference updated.
1 February 2027	All rules and guidance in force. Daily decision recording live. Calibration on the new basis live. Quarterly stress cycle running on the new policy.
1 August 2027	Both transitional provisions expire. Every prospectus compliant with COLL 4.2.5R(18). No security still relying on the old one-year admission derogation.
Q1 2028	First annual retrospective assessment under COLL 6.3.8BR, covering the period from 1 February 2027.
On MMFR revocation	COLL 6.12.11R ceases to apply to a UCITS that is a regulated money market fund.

THE TRANSITIONAL DETAIL PEOPLE GET WRONG

The cohort boundary for recently issued securities is **date of issue**, not date of purchase, and one of the boundaries has already passed:

- Issued **before 1 August 2026** — keep the old one-year derogation for its full original term. A security issued 31 July 2026 can rely on it until 30 July 2027.
- Issued **1 August 2026 to 31 January 2027** — must be admitted by 1 August 2027, when the transitional expires.
- Bought **from 1 February 2027** — 20 business days from issue, no transition.

C. Rules versus guidance: the twelve obligations that actually bind

An **R** provision binds; breach is actionable. A **G** provision does not bind, but it is the FCA's statement of what compliance looks like — depart from it if you have reason, but record the reason at the time, at the right level of seniority. Strip out the guidance and this is the complete list of what is mandatory.

Rule	The obligation	Closed by
Glossary — "dilution"	Definition extended from single-priced funds to all authorised funds; dealing costs expressly include professional fees on property and the bid-offer spread	Adopting the definition verbatim in your policy
COLL 4.2.5R(18)	Prospectus must explain dilution and your policies, procedures and mechanism	Updated prospectus by 1 Aug 2027
COLL 5.2.7AR(2) (a)	No presumption of liquidity from admission to an eligible market	Rebuilt eligibility assessments
COLL 5.2.8R(3)(e)	Recently issued securities admitted within 20 business days	Automated ageing control
COLL 6.3.7AR(1) (a)	Policies setting out how dilution is identified and assessed at each valuation point	Approved policy plus the daily process
COLL 6.3.7AR(1) (b)	Have a mechanism, and use it where dilution poses a material risk	Mechanism live in pricing; materiality defined
COLL 6.3.7AR(2)	Levy or adjustment (single-priced); cost allocation plus large-deal provision (dual-priced)	Pricing policy per fund
COLL 6.3.7AR(3)	Three specified contents for single-priced funds: when, how calculated, on what basis	Policy mapped one-to-one
COLL 6.3.7AR(4)	Apply it "as appropriate to the circumstances and in a timely manner"	Timestamped decisions
COLL 6.3.8BR	Annual retrospective assessment of decisions and of fair treatment	Dated report, approved and actioned
COLL 6.6.3R(5)	Identify, manage and monitor the redeeming-versus-remaining conflict	Conflicts register plus decision records
COLL 6.12.11R(2)	Stress test liquidity under normal and exceptional circumstances	Policy plus executed results

Twelve rules. Roughly a hundred numbered guidance paragraphs across the two new annexes describe how the FCA expects those twelve to be met.

D. Why the FCA did this — the evidence trail in six numbers

You will be asked why this is worth doing. The answer is not "IOSCO said so". It is that the FCA looked at UK funds twice and did not like what it found.

Number	What it is
272	Funds covered by the 2020 joint Bank of England and FCA survey of liquidity management, across 51 AFMs.
4	Of those 272 funds, the number that did not have anti-dilution tools available. Availability was already near-universal — which is why making it mandatory costs the industry almost nothing.
13	Of those 272, the number whose swing factors considered market impact. This single number is the reason COLL 6.3.7CG(3) exists. The survey also found funds with different strategies using identical thresholds and standardised factors.
2023	The FCA's liquidity multi-firm review. It found methodologies that "contemplated using solely cash and the most liquid assets first ... without any consideration of the liquidity of selling a 'vertical slice'", giving management "a misleading view of a fund's true liquidity position"; insufficient governance weight and challenge; and no arrangements for cumulative or market-wide redemptions as opposed to one-off large ones.
£1.6m	The FCA's estimate of the equivalent annual net direct cost to the whole UK industry. Useful when someone proposes a programme that costs your firm a material fraction of that: the FCA does not think this is a large build.
£16.5tn	UK assets under management. The reason the FCA cares whether the machinery works.

The modules

Anti-dilution — Modules 1 to 8

MODULE 1

Have a mechanism, and have it working every day

COLL 6.3.7AR(1)(b) and (2) · Rule · New

THE RULE

"An authorised fund manager must have an anti-dilution mechanism that the authorised fund manager will use to protect the interests of unitholders when it has assessed reasonably that dilution affecting, or potentially affecting, the value of scheme property poses a material risk to unitholders."

The mechanism must provide for: **single-priced** — the payment of a dilution levy or the making of a dilution adjustment; **dual-priced** — the allocation of portfolio transaction costs when setting unit prices, together with the ability to make provision for large deals.

WHY IT EXISTS

When an investor redeems, the fund sells assets, and selling costs money. If the redeemer is paid full net asset value, that cost is borne by the investors who stayed. It is a transfer from the patient to the transacting, and it is invisible — it never appears on a factsheet. In a falling market it becomes worse than a transfer: if exiting is free, the rational response to bad news is to exit before everyone else, which is precisely how an ordinary outflow becomes a run. An anti-dilution mechanism removes that incentive by charging the leaver the cost the leaver causes. The FCA has made possession mandatory because the harm does not announce itself, so a firm can go years without noticing it.

WHAT YOU MUST DO

1. Confirm every fund has a mechanism *configured in the pricing system* — not merely permitted by the instrument constituting the fund.
2. Confirm it can be applied at *any* valuation point, including tomorrow's, without a manual workaround.
3. Record which mechanism applies to which fund, in a parameter schedule the committee owns.
4. Test it end to end at least annually, including the transfer agent and the platforms — a tool that cannot be operated in three days is not available.

SAY THIS TO YOUR CRO

- "Having the tool is no longer our choice. Using it on a given day still is."
- "The risk here is not the rule — almost every fund already has a tool. The risk is that 'available' now means operationally executable at the next valuation point, and we have never tested that end to end with the transfer agent."
- "If we cannot swing on the day we need to, the alternative is a gate or a suspension, and those are conversations with the Board and the press."

EXAMPLE

A firm's dilution adjustment is documented in the prospectus and approved by the board, but the transfer agent needs five business days' notice to change the swing factor, and the platform files are hard-coded to a single factor. The tool exists on paper. On the day a 6% outflow arrives, it does not exist in fact, and the entire cost falls on remaining investors. The annual test at Module 16 is what finds this, in a calm week rather than a bad one.

IMPLEMENT

Policy clause:

[Firm] maintains, for every authorised fund it manages, an anti-dilution mechanism together with the policies and procedures set out in this document. The mechanism is available for use at every valuation point. For a single-priced fund the mechanism is [a dilution adjustment / a dilution levy] as recorded in the Fund Parameter Schedule; for a dual-priced fund it is the allocation of portfolio transaction costs in setting the issue and cancellation prices, together with the provision for large deals.

EVIDENCE FOR THE FILE

Pricing system configuration per fund · Fund Parameter Schedule with committee approval · annual end-to-end test result covering the transfer agent and material platforms.

MODULE 2

Identify and assess dilution at every valuation point

COLL 6.3.7AR(1)(a), 6.3.7BG · Rule and guidance · New

THE RULE

An AFM must have policies and procedures setting out "(i) how the authorised fund manager will identify instances, or potential instances, of dilution affecting the value of the scheme property; and (ii) how, in such instances, the authorised fund manager will assess, **at each valuation point**, the impact, or likely impact, of such dilution on the unitholders in the scheme."

Guidance: the policies "should enable it to apply the anti-dilution mechanism at every valuation point"; the mechanism need not be applied where dilution does not pose a material risk — "for example, cash outflows due to the redemption of units may be offset against cash inflows from the purchase of units."

WHY IT EXISTS

Dilution is a daily phenomenon in a daily-dealt fund. A quarterly review of whether the fund is being diluted is like a quarterly review of whether the NAV is right. The FCA is forcing the assessment to run at the frequency at which the harm occurs, which means it has to be a calculation in a system, not a discussion in a meeting.

WHAT YOU MUST DO

1. Write down the identification method: net flow in currency and as a percentage of prior NAV, and the portfolio transactions that flow would require.
2. Write down the netting convention. Netting is permitted, but only where offsetting flows genuinely remove the need to trade. Flows that net at unit level but still require trading — different share classes, currency hedging, settlement mismatches — do not net.
3. Automate the assessment for every fund, every valuation point, with the output expressed as basis points of price movement.
4. Record the result whether or not you act on it. Module 7 is impossible without this.

SAY THIS TO YOUR CRO

- "This is roughly 255 assessments per fund per year. It has to be a system calculation with a human override, not a judgement call each morning."
- "The days we do *not* swing are as important as the days we do, because the annual review has to explain both, and next year we will have to quantify the dilution we let through."
- "Netting saves us most of the work, but only where flows genuinely cancel. Our multi-class funds will not net as often as people assume."

EXAMPLE

Fund A takes £40m of redemptions and £38m of subscriptions on the same day. Net £2m — 0.25% of NAV — and on the face of it nothing to do. But the subscriptions arrive in a hedged share class and the redemptions leave from the unhedged one, so the fund must roll £38m of forwards and rebalance. Real transactions are required and real cost is incurred. Netting at unit level would have hidden it. **The netting test is on required portfolio transactions, not on unit flows.**

IMPLEMENT

Policy clause:

At each valuation point the system will calculate, for each fund: gross subscriptions and gross redemptions; net flow in fund currency and as a percentage of the prior valuation point's net asset value; and the portfolio transactions required to give effect to that net flow on the basis set out in the Calibration Standard. Netting of redemption outflows against subscription inflows is permitted only to the extent that the offsetting flows genuinely remove the need for portfolio transactions; where flows offset at unit level but portfolio transactions are nonetheless required, including as a result of share class, currency, hedging or settlement differences, the required transactions form the basis of the calculation. The estimated dilution is expressed as the resulting movement in the dealing price of a unit, in basis points, and recorded whether or not the mechanism is applied.

EVIDENCE FOR THE FILE

The daily calculation output for any date on request · the netting convention in the policy · a decision record for every valuation point, including non-applications with the computed figure.

MODULE 3

Define "material risk" — the decision to act

COLL 6.3.7AR(1)(b), 6.3.7BG(2), COLL 6 Annex 5.29 · Rule · Firm-defined

THE RULE

The mechanism is used "when it has assessed reasonably that dilution ... poses a **material risk** to unitholders". The FCA does not define material risk, and deliberately declined to prescribe activation triggers: fixed triggers "may not be appropriate for all funds" and "could also have the unintended consequence of allowing certain investors to predict and exploit the use of ADTs."

Annex 5.29(1): thresholds and calibration should be set "on a scheme-by-scheme basis, rather than using a one-size-fits-all approach".

WHY IT EXISTS

A tool that is always on charges investors for costs that were never incurred; a tool that is never on protects nobody. The threshold is the dial between those failures, and it is genuinely fund-specific: a gilt fund and a smaller companies fund do not become materially diluted at the same flow level. IOSCO puts the two-sided risk plainly — a threshold set too high "result[s] in ... material dilution impact in the fund", and one set too low "can create unnecessary costs for both transacting and remaining investors and increase the volatility of the fund's NAV". The 2020 survey found firms using identical thresholds across funds with different strategies. That is the practice being legislated against.

WHAT YOU MUST DO

1. Choose the *unit* of the threshold. Recommended: basis points of movement in the dealing price, not a percentage of NAV flow.
2. Set it per fund, with the analysis behind the level on file — flow distribution, cost profile, investor base.
3. Review it at least annually and after every retrospective assessment.

4. Do not publish the parameter. Describe the method in the prospectus; keep the grid internal.

SAY THIS TO YOUR CRO

- "The FCA left materiality to us on purpose, so the threshold is our judgement and we own it — which means it needs analysis behind it, not a round number."
- "I recommend we set it as a price impact in basis points rather than a flow percentage. It is automatically fund-specific, it scales correctly from a money market fund to a small-cap fund, and it is harder for an investor to game."
- "Next year's retrospective assessment will tell us, in pounds, how much dilution the threshold let through. That is the number that will validate or change it."

EXAMPLE

Take one group-wide trigger of "act when net flow exceeds 1% of NAV", applied to a short-dated money market fund and to Fund A.

On the money market fund a 1% flow moves the dealing price by a fraction of a basis point. The trigger fires constantly and charges investors for a cost that was not incurred.

On Fund A a 1% flow costs **19.4 bp** on the vertical-slice basis. So a 0.9% day — which *just misses* the trigger — transfers roughly **£8,600** from remaining investors to those dealing, and does so on every such day. One number cannot be right for both funds. Restate the same rule as "act when the estimated price impact exceeds 5 basis points" and it produces sensible, and different, behaviour in each.

IMPLEMENT

Policy clause:

Dilution poses a material risk to unitholders where the estimated movement in the dealing price of a unit equals or exceeds [X] basis points for the relevant fund, as recorded in the Fund Parameter Schedule. The threshold is set by the Fund Liquidity Committee for each fund individually, having regard to the fund's investment strategy, the composition and cost profile of its portfolio, and its investor base; it is reviewed at least annually and following each retrospective assessment. A single threshold will not be applied across funds of differing liquidity profiles. The threshold is not disclosed.

EVIDENCE FOR THE FILE

Per-fund threshold with the derivation · committee minute approving it · annual review and any change, with reasons.

MODULE 4

Calibrate it: explicit cost, implicit cost, and the vertical slice

COLL 6.3.7CG · Guidance · New · The module that costs money to implement

THE RULE

"(2) An authorised fund manager should take account of the **explicit and implicit liquidity costs** associated with a transaction, or potential transaction, in order to **preserve the liquidity profile of the scheme**.

(3) The liquidity costs at (2) should be calculated on the basis of a **pro-rata apportionment of the scheme property across all unitholders**. Such calculations should include an appropriate estimate, **by reference to previous transactions or relevant market data and models**, of the likely impact on the price of a transferable security in circumstances where the authorised fund manager is required to sell a significant quantity of that transferable security in order to meet one or more redemption requests."

WHY IT EXISTS

If you always meet redemptions from cash and your most liquid holdings, three things happen. The redeemer gets a cheap exit. Your swing factor, calibrated on what you actually traded, looks tiny. And the fund you are left with is less liquid than the fund you started with — so the next redeemer faces a worse portfolio, through no fault of their own. Repeat it and you have a ratchet: the promise stays the same while the ability to honour it degrades. Pricing on a pro-rata slice breaks the ratchet, because the cost of liquidity stops depending on which assets you happened to sell.

The FCA is explicit that this is a *pricing* basis, not an execution instruction — it changed the drafting after consultation to say so: "vertical slicing serves as a baseline against which liquidity costs are assessed when calibrating ADTs, rather than a requirement for executing every transaction." IOSCO says the same and adds the point that matters most: managers "should particularly consider using the pro-rata cost in stressed times, when it is most relevant for mitigating the potential dilution impact on the remaining investors."

WHAT YOU MUST DO

1. **Count both cost types.** Explicit: commission, transfer taxes and duties, exchange, clearing and settlement charges, and for property the professional fees the Glossary definition now names. Implicit: the effective bid-offer spread and market impact.
2. **Compute on the slice.** For a net flow of $p\%$ of NAV, the fund-level cost is the value-weighted sum of the cost of transacting $p\%$ of *every* position — including positions you would not sell.
3. **Model impact, do not ignore it.** The rule expressly permits "relevant market data and models". This is where Bloomberg LQA does the work.
4. **Make the rate vary with size.** Impact scales with the square root of trade size, so a single fixed factor is wrong at every flow level except one.
5. **Charge buys and sells differently** where the underlying costs differ. Stamp duty falls on purchases only.
6. **Run a stressed shadow calibration** and check it against your prospectus disclosure. See Module 6.

SAY THIS TO YOUR CRO

- "We currently price liquidity on what we actually sell. The FCA wants us to price it as if we sold a slice of everything. On our UK equity fund that is the difference between 1 basis point and 52."
- "This is not the regulator being theoretical. Of the 272 UK funds the FCA surveyed, 13 included market impact in their swing factors. We were being asked to fix an industry-wide under-recovery, and now we are being told to."
- "The build is a daily model run and a cost table. The hard part is not the model — it is agreeing that a fund with a small illiquid tail has a genuinely higher cost of dealing than its size suggests, and that this shows up in our factors."

EXAMPLE

Fund A receives £28m of redemptions and £8m of subscriptions. Net outflow £20m, exactly 4% of NAV. The vertical slice sells 4% of *every line* — so the calculation is fifteen small trades, not one big one.

Line	Position	4% slice	Slice ÷ one-day capacity	Cost	Contribution to the factor
High yield corporate	£30m	£1.20m	0.80×	109.2 bp	6.55
EM sovereign	£20m	£0.80m	0.40×	70.3 bp	2.81
UK AIM holding	£8m	£0.32m	2.00×	175.1 bp	2.80
IG corporate — small issue	£30m	£1.20m	0.40×	41.9 bp	2.51
IG corporate — benchmark issue	£45m	£1.80m	0.23×	24.6 bp	2.22
European small cap	£15m	£0.60m	1.00×	67.0 bp	2.01
High yield bond ETF	£25m	£1.00m	0.20×	33.2 bp	1.66
UK mid cap	£22m	£0.88m	0.63×	31.4 bp	1.38
UK large cap	£35m	£1.40m	0.16×	9.9 bp	0.70
Developed equity ETF	£45m	£1.80m	0.06×	6.0 bp	0.54
Global mega-cap B	£38m	£1.52m	0.05×	6.1 bp	0.47
Global mega-cap A	£42m	£1.68m	0.04×	5.2 bp	0.44
UK gilt 2031	£65m	£2.60m	0.05×	2.5 bp	0.32
US Treasury 2030	£35m	£1.40m	0.04×	1.8 bp	0.12
Cash and near cash	£45m	£1.80m	—	0.5 bp	0.04
Vertical-slice swing factor					24.58 bp

Read the right-hand column, not the cost column. The four lines in bold at the top are **17.7% of the fund and 60% of the swing factor**; widen it to the top five and it is 20.6% of the fund producing **68%** of the cost of liquidity. The gilt, the Treasury, the two mega-caps and the equity ETF are together 47% of the fund and contribute under 2 basis points between them. *This is the single most useful output of the whole calculation*, and you only get it at line level — group these into "equities" and "bonds" and the information disappears.

Now price it the old way. Cash is £45m and the redemption is £20m, so cash alone covers it. Trading cost: **0.5 bp**.

$$(24.58 - 0.50) \div 10,000 \times £20,000,000 = \textbf{£48,160 in one day}$$

on 30 such days a year $\approx$ **£1.44m** transferred from remaining investors

And that is before the second effect: the fund has gone from £45m of cash to £25m, so the buffer that absorbed this redemption is not there for the next one. **That is the fact for the investment committee** — not a fairness argument but a portfolio one. Nobody decided to run the fund with less cash and proportionally more high yield; it simply happened.

TWO SUPPORTING FACTS, FROM THE SAME FIFTEEN LINES

A fixed factor cannot be right. Recomputed at three flow levels: 1% of NAV → **19.4 bp**; 4% → **24.6 bp**; 10% → **30.6 bp**. The curve is flatter than for a pure equity fund because most of this portfolio is deep — but the shape still means a single standardised factor over-charges on quiet days and under-protects on heavy ones. Use a continuous schedule keyed to net flow, and avoid hard tiers, which create a cliff an investor can deal around.

Stress is where it moves. With spreads tripled and impact doubled, the 4% factor goes from 24.6 bp to **61.5 bp** — a multiple of **2.5×**. Check that against your disclosed maximum before anything else (Module 6).

Buy and sell are not mirror images, but the asymmetry is fund-specific. The 4% buy-side factor is **30.3 bp** against 24.6 bp on the sell side. The entire difference is stamp duty reserve tax on two lines — the UK large cap and the UK mid cap. The bonds, the ETFs, the AIM holding and the non-UK equities attract none. A firm running one symmetric factor mis-prices one side of the book every day; a firm assuming the asymmetry is large because it was large on its UK equity fund will over-charge subscribers here.

WHAT THE LINE-LEVEL VIEW SHOWS THAT AN ASSET-CLASS VIEW CANNOT

Two "IG corporate" lines behave completely differently. The benchmark issue costs 24.6 bp on this slice; the small issue costs 41.9 bp. Same rating, same sector, same asset class — different issue size, so different dealer capacity. Averaged into a single "investment grade" bucket, that distinction vanishes and with it the reason one of them is a problem.

The AIM line costs 175 bp on a £320,000 trade. It is 1.6% of the fund and contributes 2.8 of the 24.6 basis points — more than the gilt, the Treasury and both mega-caps combined. Its slice is **twice** its entire one-day capacity, which is the arithmetic way of saying you cannot actually execute this trade in a day. That is a flag the pricing model raises and the portfolio system never would.

The two ETFs are not one thing. The developed equity ETF is among the cheapest lines in the fund at 6.0 bp. The high yield bond ETF costs 33.2 bp — five times more — because the wrapper's liquidity is ultimately the underlying's liquidity once you exceed what the secondary market absorbs. Treat an ETF's own traded volume as its capacity only up to the point where a market maker would have to create or redeem; beyond that, the underlying basket governs, and for a high yield ETF that is the same dealer capacity constraining your direct high yield line. COLL 6 Annex 6.21(5) makes the same point, requiring stress testing to be adapted to an ETF's authorised participant, redemption and replication models.

IMPLEMENT – THE MODEL

Nightly batch, per fund:

1. For every position, pull `LQA_LIQUIDATION_COST` at trade sizes of $position \times p$ for a grid of p (0.5%, 1%, 2%, 4%, 8%, 15%), horizon 1 day, confidence 50, participation cap 20%, direction Sell. Repeat with direction Buy.
2. Pull `LQA_LIQUIDATION_COST_UNC` alongside every value so you can bias the calibration conservatively rather than using a point estimate.
3. **Add explicit costs yourself.** LQA gives you spread and impact; it does not give you commission, SDRT, French or Italian financial transaction tax, Hong Kong stamp, or custody transaction charges. Maintain these in a table by market and instrument type.
4. Aggregate value-weighted across all positions to get the fund-level rate at each p ; interpolate to a continuous schedule.
5. Publish the schedule to the pricing system with a version stamp. That stamped schedule is your audit trail for every day's rate.
6. Weekly, repeat under the stressed parameter set (confidence 90, participation 10%, volatility $\times 2$, volume $\times 0.6$, spread $\times 3$) and compare against the prospectus disclosure.

Four mistakes the model makes easy: using the median confidence level in a stress run; leaving the participation rate uncapped (Annex 6.30(2) prohibits assuming liquidation at full average daily volume without empirical evidence); pulling one cost per security and reusing it at all flow levels; and adding your own half-spread on top of an LQA number that already contains an effective-spread term.

IMPLEMENT – THE CLAUSE

Liquidity costs are calculated on the basis of a pro-rata apportionment of the scheme property across all unitholders. For a net flow equal to p per cent of net asset value, the cost is the value-weighted sum, across every position in the portfolio, of the cost of transacting p per cent of that position. The vertical slice is a basis for calculating cost; it is not a requirement as to how any transaction is executed. It is applied to all scheme property, including assets not expected to be sold to meet the relevant redemption.

The cost of transacting a position comprises (a) explicit costs — brokerage commission, transfer taxes and duties, exchange, clearing and settlement charges, and in relation to immovables the professional fees incurred or expected to be incurred; and (b) implicit costs — the effective bid-offer spread and the estimated market impact. Costs are calculated separately for purchases and sales. The market impact estimate varies with the size of the transaction; a single fixed impact assumption will not be used. Model parameters, including confidence level, participation rate cap and horizon, are recorded in the Model Parameter Schedule and may not be varied without Fund Liquidity Committee approval.

EVIDENCE FOR THE FILE

The daily rate schedule with parameter version · the explicit cost table by market · the model output for any named date · the weekly stressed comparison against prospectus disclosure · the parallel run quantifying the change from your previous method, per fund.

MODULE 5

Dual-priced funds

COLL 6.3.7AR(2)(b), 6.3.5BAG, Glossary "dilution" · Rule and guidance · New scope

THE RULE

The Glossary definition of *dilution* changes from "single-priced authorised fund" to "**authorised fund**" throughout. For a dual-priced fund the mechanism is "the allocation of portfolio transaction costs when setting unit prices, together with the ability to make provision for large deals."

COLL 6.3.5BAG: the sale and redemption price parameters "should be applied so as to ensure fair treatment between unitholders who are dealing in units and unitholders who were already invested or remain invested in the scheme."

WHY IT EXISTS

Dilution exists in a dual-priced fund exactly as it does in a single-priced one; only the machinery differs. The FCA originally described the mechanism as the manager's ability to set buying and selling prices, industry pointed out that this mislocated the discretion, and the FCA rewrote it: dilution is addressed in the *calculation of the issue and cancellation prices*, through the notional dealing charge, plus the large-deal provision. The consequence is that dual-priced managers now inherit obligations they have never had — prospectus disclosure, record-keeping, and the annual retrospective assessment.

WHAT YOU MUST DO

1. Document the notional dealing charge on the same explicit-plus-implicit, vertical-slice basis as a swing factor. Your bid valuation should carry modelled market impact, not just spread and commission.
2. Document where within the issue-to-cancellation range you price, and when you narrow the range.
3. Define and disclose the large-deal threshold.
4. Add these funds to the Module 7 annual assessment. They were not in scope before.

SAY THIS TO YOUR CRO

- "Our dual-priced funds are now in the anti-dilution regime for the first time. That is prospectus work, record-keeping and an annual review, not just a policy paragraph."
- "The FCA's own point is that charging the full spread when flows net off creates *concentration* — the opposite of dilution — so we need a documented basis for narrowing the range, not just for widening it."
- "The spread itself is not the issue. The issue is whether the dealing charge inside it reflects market impact. Today it reflects spread and commission."

EXAMPLE

Dual-priced NURS, mid price 100.00p, notional dealing charge +0.94% on the offer valuation (SDRT 0.50% plus dealing 0.44%) and -0.52% on the bid. Issue price 100.94p, cancellation price 99.48p — a full range of 146 bp.

Heavy net inflow day. Real purchases are made, SDRT is genuinely paid. Price near the issue price. Correct.

Matched flow day — £12m in, £11.6m out. Almost nothing trades. Charge the full 146 bp and the incoming investor pays a tax that was never paid and the outgoing investor absorbs a spread that was never crossed; the difference accretes to the fund. That is concentration, and it is a fairness failure in the opposite direction. Narrow the range to reflect the £0.4m residual — say 10 bp — and record why.

IMPLEMENT

The notional dealing charge applied in preparing the issue and cancellation valuations is determined on the basis set out in the Calibration Standard, and includes an estimate of market impact as well as explicit costs and the bid-offer spread. Prices at which units are sold and redeemed may be set at any point within the range between the cancellation price and the issue price. Where subscriptions and redemptions at a valuation point substantially offset one another so that few or no portfolio transactions are required, the range between the sale and redemption prices may be narrowed to reflect the transactions actually required. The basis on which prices are set within the range is documented and reviewed at least annually so as to ensure fair treatment between unitholders dealing in units and those already invested or remaining invested.

EVIDENCE FOR THE FILE

Derivation of the notional dealing charge including impact · the pricing-within-range policy · twelve months of where prices were actually struck against flow netting · large-deal threshold in the prospectus.

The prospectus — and the cap that disables your mechanism

COLL 4.2.5R(18), TP 70 · Rule · Deadline 1 August 2027

THE RULE

The prospectus must give "Details of what is meant by dilution including ... a statement explaining ... the authorised fund manager's policies, procedures and mechanism under COLL 6.3.7AR ... together with an explanation of how these policies and procedures may affect the future growth of the authorised fund."

Transitional: not required until the earlier of the date the prospectus is next updated, or **1 August 2027**.

WHY IT EXISTS

The prospectus is where the mechanism becomes enforceable both ways. The investor must understand that the fund can charge them for the liquidity they consume; and you must be able to point to the disclosure when you do. The FCA also wants the growth point made honestly — a well-calibrated tool does make the fund more expensive to deal in, and that is a legitimate thing for an investor to know.

THE TRAP: YOUR DISCLOSED MAXIMUM

Many prospectuses state a maximum dilution adjustment, set years ago in benign conditions. Re-run Fund A's 4% slice under stress — impact doubled, spreads tripled — and the factor goes from **24.6 bp to 61.5 bp**, a multiple of **2.5×**. A prospectus capped at 50 bp has just disabled the mechanism in precisely the conditions where remaining investors need it, and every basis point above the cap is an unrecovered transfer.

IOSCO is unusually direct on this: "there should not be any caps or restrictions that prevent anti-dilution LMTs from achieving this objective ... where such parameters are disclosed, responsible entities should put in place mechanisms to allow an adjustment beyond the disclosed ranges if necessary ... An example would be to include a clause in the fund documentation that explicitly states that the ranges of liquidity cost adjustment could be exceeded on an exceptional basis and if justified by the market conditions."

WHAT YOU MUST DO

1. Run the stressed calibration for every fund and compare it to any disclosed maximum. Do this *first*, because it determines the drafting.
2. Where the cap binds, either remove it or add an exceedance clause of the kind IOSCO describes.
3. Describe the *method*, not the parameters. Explaining that the rate rises with flow size and in stressed conditions is useful to investors; publishing the grid lets them trade around it.
4. Build the schedule now. Nearly every prospectus will need touching, and legal, product and distribution capacity is the constraint, not drafting.

SAY THIS TO YOUR CRO

- "We have until 1 August 2027, but the binding constraint is legal and product capacity, not the deadline. I want prospectus drafting starting in Q4."
- "There is one substantive issue, not just drafting: several of our funds disclose a maximum adjustment that is below what our stressed calibration produces. As drafted, those caps stop us protecting remaining investors in a crisis."
- "We will describe the method in the prospectus but keep the parameters internal. The FCA's own reasoning for not prescribing triggers is that investors would otherwise predict and exploit them."

IMPLEMENT

Prospectus wording — single-priced fund:

Dilution. The costs of buying and selling investments are not the same as the value of those investments used to calculate the price of units. These costs include dealing charges, commissions, taxes and duties, the difference between the buying and selling prices of investments, and the effect on market prices of buying or selling investments in size. Where units are issued or cancelled, the ACD may need to buy or sell investments, and the costs of doing so can reduce the value of the Fund. This reduction is known as dilution.

The ACD's policy. The ACD has established policies and procedures for identifying when dilution arises, for assessing at each valuation point its impact on unitholders, and for protecting unitholders' interests where dilution poses a material risk. The ACD maintains an anti-dilution mechanism, being [a dilution adjustment], available for use at every valuation point. The ACD will apply it where it reasonably assesses that dilution poses a material risk to unitholders, taking into account the net effect of subscriptions and redemptions and the portfolio transactions required to give effect to them. The ACD may determine that dilution does not pose a material risk — for example where redemption outflows are offset by subscription inflows — in which case the mechanism will not be applied at that valuation point.

How the amount is determined. The rate is calculated by reference to the estimated explicit and implicit costs of the transactions concerned, including dealing charges, commissions, taxes and duties, the difference between buying and selling prices, and an estimate of the effect on market prices of transacting in size. The estimate is calculated on the basis of a proportionate share of all of the Fund's investments, and not only those the ACD may in fact buy or sell. The rate is therefore likely to be higher where the amount transacted is larger, and higher in stressed market conditions. The rates applicable to subscriptions and to redemptions may differ, in particular because certain taxes are payable only on purchases.

Effect. Applying the mechanism increases the price paid by investors buying units and reduces the amount received by investors selling units. Its purpose is to ensure that investors who transact bear the costs their transactions cause, so that investors who remain in the Fund are not disadvantaged. Because it increases the cost of transacting, it may affect the future growth of the Fund. [Where a maximum is stated: The ACD would not ordinarily apply an adjustment exceeding [X]%; however, in exceptional market conditions the ACD may apply a higher rate where this is necessary to reflect the costs of liquidity and to protect the interests of unitholders.]

Review. The ACD reviews at least annually the decisions it has made to apply, or to refrain from applying, the mechanism, and assesses the extent to which those decisions have resulted in the fair treatment of all unitholders.

EVIDENCE FOR THE FILE

Fund-by-fund prospectus plan with dates · the stressed-calibration-versus-cap analysis · sign-off that the wording matches the operating policy.

MODULE 7

The annual retrospective assessment

COLL 6.3.8BR, 6.3.8CG · Rule · New · First one due Q1 2028

THE RULE

"An authorised fund manager must conduct a retrospective assessment at least annually of: (1) the decisions it has made **to apply, or refrain from applying**, the anti-dilution mechanism to the sale and redemption of units; and (2) **the extent to which** those decisions have resulted in the fair treatment of all unitholders in the scheme, including those unitholders who were dealing in the units of the scheme, and those unitholders who were already invested or remained invested in the scheme."

Guidance: review the choice of mechanism where more than one could have been used; the calibration of every mechanism employed; and whether the frequency of use was appropriate given the scheme property and what you know about the investor profile.

WHY IT EXISTS

A swing factor is an estimate applied prospectively, hundreds of times a year, that is never naturally reconciled to anything. Money moves and the fund carries on. A factor that is 20% light every day for a year is not a rounding error, it is a systematic transfer, and only a longitudinal review finds it. Note the wording the FCA settled on: industry pointed out that a review cannot *ensure* fairness, so the rule now asks you to assess "the extent to which" it occurred. That is an invitation to measure, and an assertion of satisfaction will not answer it.

WHAT YOU MUST DO

Five tests, on every valuation point in the period, applied and non-applied alike.

#	Test	Computation	What it tells you
1	Cost recovery ratio	For each swung day: amount charged ÷ costs actually caused, including modelled impact on the executed trades. Report the distribution, not the mean.	Whether the calibration is biased. Median materially below 1 means remaining investors are subsidising.
2	Non-application total	For every valuation point where you did not act, the dilution that occurred anyway. Sum for the year, in pounds and in basis points of average NAV.	The direct answer to the "refrain from applying" limb. Expect to be asked for this number.
3	Threshold sensitivity	Re-run the year at 0.5× and 2× the materiality threshold.	Whether the threshold is set right — and you find out before the FCA does.
4	Frequency and pattern	Count applications; test for clustering with stress, with month-end, or with one investor's dealing days.	Clustering on one investor is a conflicts finding, not just a calibration one.
5	Choice of mechanism	Where more than one tool was available, was the right one used?	Closes the guidance limb even when the answer is "yes, every time".

SAY THIS TO YOUR CRO

- "This is a rule, it is annual, and it is the single most inspectable thing we will produce. It has to have numbers in it."
- "The rule covers the days we chose *not* to swing, so we have to be recording those from 1 February 2027 — we cannot reconstruct them a year later."
- "Expect the first one to find something. A median recovery ratio below 1 is the normal starting position for a firm that has not been modelling market impact, and finding it ourselves is far better than having it found for us."

EXAMPLE

Fund A's first assessment, 255 valuation points, mechanism applied on 61 of them.

Result	Committee action
Median cost recovery ratio 0.78	Systematic 22% under-recovery. Root cause: impact excluded from the high yield, EM and AIM lines — the four lines that drive 60% of the factor. Change the calibration.
Dilution on non-applied days £0.71m , 14.2 bp of average NAV	Threshold too high. Test 3 shows £0.50m of it would have been captured at half the threshold. Recommend reduction, modelling the cost to transacting investors first.
Maximum rate applied 37 bp against a 50 bp prospectus cap	Looks comfortable — but the stressed calibration is 61.5 bp. The cap will bind exactly when it matters. Escalate to the prospectus workstream.

Three findings, three actions, three owners. That is what the rule is asking for. A report that concluded "unitholders were treated fairly" with none of these numbers would not have answered the question.

IMPLEMENT

The Risk function will conduct, at least annually and for each authorised fund, a retrospective assessment of (a) the decisions made to apply, or to refrain from applying, the anti-dilution mechanism, and (b) the extent to which those decisions have resulted in the fair treatment of all unitholders, including those dealing in units and those already invested or remaining invested. The assessment covers every valuation point in the period, whether or not the mechanism was applied, and includes at least: the proportion of valuation points at which the mechanism was applied; the ratio of amounts charged to costs caused, reported as a distribution; the estimated dilution borne by remaining unitholders on non-applied points, aggregated in fund currency and in basis points of average net asset value; a sensitivity analysis of the materiality threshold; an analysis of the frequency and timing of applications including any coincidence with the dealing patterns of individual investors or distributors; a review of the choice of mechanism where more than one was available; a review of the calibration of every mechanism employed; and the aggregate of any unrecovered dilution arising from a disclosed maximum. A conclusion not supported by quantified measurement will not be accepted. Each adverse finding is recorded as an action with a named owner and due date.

[Firm] maintains the capability to make corrections to the anti-dilution mechanism, including improvements to calibration identified by the assessment. Where a correction cannot be implemented within [90] days, the constraint is escalated to the Fund Liquidity Committee as a control weakness.

EVIDENCE FOR THE FILE

The dated report with the five tests · committee minute approving it · the action log with ageing · closure evidence carried into the following year.

MODULE 8

Conflicts: redeeming investors against remaining investors

COLL 6.6.3R(5) · Rule · New

THE RULE

"The authorised fund manager must identify, manage and monitor conflicts of interest arising, or which may foreseeably arise, between unitholders who wish to redeem their units and unitholders who wish to retain their units."

WHY IT EXISTS

Most conflicts frameworks are built for firm-against-client. This one is client-against-client, and it behaves differently: there is no neutral version of the decision. Every liquidity choice — whether to swing, at what rate, which assets to sell, whether to gate — allocates value between two groups who are both your clients and both have a legitimate claim. You cannot eliminate it; you can only decide it consciously, on a stated principle, with a record. The FCA made it a rule rather than leaving it to SYSC 10 because this conflict is invisible in ordinary conflicts machinery: nobody declares an interest, no gift changes hands, the transfer happens through a price, and the losing party never knows.

WHAT YOU MUST DO

1. **Identify:** a standing entry in the conflicts register, per fund. Not an event-driven entry.
2. **Manage:** through the mechanism and its calibration, through which assets you sell, and through having alternatives to a fire sale for concentrated funds.
3. **Monitor:** the daily decision record states expressly that the conflict was considered, and where you did *not* apply the mechanism, the estimated effect on remaining investors.
4. Refuse advance information. If an investor asks whether you will swing tomorrow, that request is itself a conflicts event — log it.

SAY THIS TO YOUR CRO

- "This is a client-versus-client conflict, so we cannot manage it away. We can only show that we decided it deliberately and consistently."
- "Our stated principle is that costs sit with whoever causes them, and that the fund's liquidity profile is preserved. Every decision record has to show that principle was applied."
- "Respondents asked the FCA for guidance on justifying decisions *not* to use a tool. The FCA declined to give it, so the burden of that justification sits entirely with us."

EXAMPLE

A large institutional holder telephones the desk on Tuesday to ask whether the fund is likely to swing on Wednesday. Answering — even vaguely — hands that investor a first-mover advantage funded by everyone else. The correct handling is to decline, record the request, and treat it as a flow-forecasting signal: an investor asking that question is usually an investor about to deal.

IMPLEMENT

[Firm] recognises a standing conflict of interest, in every fund it manages, between unitholders who wish to redeem and unitholders who wish to retain their units. That conflict is recorded in the Conflicts Register for each fund and is not treated as arising only on the occurrence of an event. Where a decision allocates cost or liquidity between the two groups, the governing principle is that the costs occasioned by a transaction should be borne by the unitholders whose transaction occasions them, so far as they can be estimated on a reasonable and consistent basis, and that the fund's liquidity profile should be preserved so far as practicable. The daily decision record states that the conflict was considered; where the mechanism was not applied, or was applied at a rate below the calculated rate, the record states the reason and the estimated effect on remaining unitholders. Information about the anticipated use, level or calibration of liquidity management tools is not disclosed to any investor or distributor in advance of its application, and any request for such information is recorded and reported to the Fund Liquidity Committee.

EVIDENCE FOR THE FILE

Conflicts register entry per fund · decision records showing the conflict line · log of any advance-information requests · the non-application total from Module 7.

MODULE 9

The listed asset presumption is gone

COLL 5.2.7AR(2)(a) deleted; COLL 5.2.7BG(2) new · Rule and guidance

THE RULE

Deleted: the presumption that a transferable security admitted to or dealt in on an eligible market "not [to] compromise the ability of the authorised fund manager to comply with its obligation to redeem units at the request of any qualifying unitholder".

New guidance — when assessing whether a security's liquidity might compromise your ability to meet redemptions, consider: "(a) the quality of secondary market activity ... in terms of (i) the volume of transactions ... over a reasonable period of time ... and (ii) the number and quality of intermediaries and market makers ...; (b) how the scheme's holding of, or proposed transaction in, a transferable security ... compares to the average daily volume of trades in that transferable security; (c) the opportunities available to buy or sell the transferable security and the time it may take to do so; and (d) the proportion of the value of the scheme property that the transferable security represents."

The presumption is **retained** for an approved money-market instrument (COLL 5.2.7HR(3)).

WHY IT EXISTS

Under the old rule, "it is listed" did the analytical work in most firms' eligible-asset files. That is why so many of those files consist of an exchange code and a tick. But listing is a statement about admission, not about tradability, and the gap between the two is exactly where the last decade's fund failures happened. Note also that COLL 5.2.7AR requires eligibility "at the time of its acquisition **and for as long as it comprises part of the scheme property**" — so removing the presumption converts a pre-trade check into a continuing obligation to hold a positive view.

THREE ARGUMENTS THAT NO LONGER WORK

- **"It is listed."** Removed by the deletion above.
- **"It trades on a liquid market."** Annex 5.10(2)(a): consideration of market liquidity "should not override its judgement as to whether any particular asset traded on that market is adequately liquid".
- **"It is within the spread limit."** Annex 5.10(2)(b): do not assume an asset is adequately liquid "simply because its value does not exceed a percentage of the value of scheme property specified in the rule".

All three appear routinely in real files. Sweep for them first; they are the fastest finding a reviewer can make.

WHAT YOU MUST DO

1. Rebuild the assessment template around the four factors, with a measurable form for each.
2. Make it continuing — monthly, plus triggers: corporate action affecting free float, trading status change, a holding increase of 25% or more, or an adverse stress result.
3. Put the conclusion in the second line. Annex 6.14(2) prohibits portfolio managers exercising undue influence "including reliance on judgements relating to asset liquidity".
4. Note the cross-reference change: the guidance now points at *your own stress testing* under COLL 6.12.11R and Annex 6, not at the old CESR guidelines. Your eligibility file and your stress model must not contradict each other.

SAY THIS TO YOUR CRO

- "We can no longer rely on a security being listed. We now need a positive, documented reason to believe each holding does not compromise our ability to redeem — and we need it for as long as we hold the position, not just at purchase."
- "The FCA says it is not imposing new documentation burdens because it expects us to be doing this already through liquidity bucketing. Our bucketing exercise is the evidence, so the two have to be one process, not two."
- "One factor is not in any data feed: the number and quality of market makers. We will need exchange data and our own RFQ hit rates for that."

EXAMPLE

Fund A's UK mid cap holding is £22m in a name trading £7m a day. It is admitted to the Main Market, it is 4.4% of the fund against a 10% concentration limit, and the market is deep. All three of the old arguments are available — and all three are now unavailable. Measured properly: one-day capacity is £1.4m at the 20% participation cap, so the position is **15.7 trading days** to exit. In a fund promising daily redemption, that is the fact that matters, and none of the three arguments would have surfaced it.

IMPLEMENT — THE ASSESSMENT RECORD

Field	Source	Factor
Expected daily volume; 60-day median traded value; count of zero-trade days	LQA_EXPECTED_DAILY_VOLUME (PY229) plus market data	(a)(i) volume of transactions
Registered market makers; two-way quoting dealers; quote persistence; your own RFQ hit rates	Not LQA — exchange data, dealer runs, your OMS	(a)(ii) intermediaries and market makers
Position ÷ expected daily volume, at 10%, 20% and 30% participation	Holdings ÷ PY229	(b) holding versus daily volume
Liquidation horizon at a 25 bp cost cap, 90th percentile	LQA_LIQUIDATION_HORIZON (PY254) with LQA_TGT_LIQUIDATION_COST and LQA_TGT_COST_CONF_LEVEL set	(c) time it may take
Weight in fund; size relative to issue size or free float	Internal	(d) proportion of scheme property
Settlement convention, restrictions, lock-ups, FX repatriation	Internal operations	Operational friction (Annex 5.12)
Pricing source, staleness, valuation hierarchy level	Internal valuation	Valuation certainty (Annex 5.12)
Conclusion and named reviewer in the Risk function	—	COLL 5.2.7AR(1)(b)

COLL 5.2.7BG(3) expressly permits informing the assessment "by reference to analysis of sales and purchase figures by an independent third party" — that is your authority for using a vendor model, subject to Module 13's validation.

EVIDENCE FOR THE FILE

Assessment records with a named Risk reviewer · the refresh schedule and trigger list · reconciliation between eligibility conclusions and bucketing output.

MODULE 10

Recently issued securities: one year becomes 20 business days

COLL 5.2.8R(3)(e), TP 71 · Rule

THE RULE

Transferable securities held in a UCITS must be "recently issued transferable securities, provided that: (i) the terms of issue include an undertaking that application will be made to be admitted to an eligible market; and (ii) such admission is secured within ~~a year~~ **20 business days** of issue."

The same period applies where the rule is cross-referenced, in COLL 5.6.5R(1)(b) and COLL 5.2.20R(2)(a).

WHY IT EXISTS

A security that is not admitted anywhere has no secondary market by definition. The FCA originally proposed removing the derogation entirely; industry showed that the gap between issue and listing is usually days, and that reclassifying then re-reclassifying would be operationally painful for firms that subscribe to new issues regularly. So the derogation survives with a realistic window. Twenty business days is about a month — long enough for a normal listing, short enough that nothing can sit in it.

WHAT YOU MUST DO

1. Capture **date of issue** in the security master. The clock runs from issue, not from purchase or settlement — buy in the secondary market on day 15 and you have five days.
2. Build a daily ageing control with an alert at day 15.
3. Build the *consequence*: at day 20 without admission, the holding is not ineligible — it becomes an **unapproved security**, consuming the unapproved bucket (10% of scheme property for a UCITS, 20% for a NURS). So the control must reclassify and check headroom, not just raise a breach.
4. Cover derivatives referencing recently issued securities, and the NURS cross-reference.
5. Flag the three transitional cohorts now — see the box in Orientation B.

SAY THIS TO YOUR CRO

- "This is the only genuinely new system build in the package, and it is small. What makes it awkward is that the clock runs from issue date, which we do not always capture today."
- "Ageing out is not a breach. It is a reclassification into the unapproved bucket, so the real risk is headroom in that bucket, not the security itself."
- "One of the transitional cohort boundaries is 1 August 2026, which has passed. That is retrospective tagging work we should do now."

EXAMPLE

A UCITS subscribes to a convertible issued on 4 March. Listing slips. On 1 April — 20 business days later — the holding automatically becomes an unapproved security. The fund already holds 8.6% in unapproved securities against a 10% limit, and the convertible is 1.9%. The reclassification, not the listing delay, causes the breach. A control that alerts only on the listing failure finds this on the day; a control that models headroom finds it on day 15, while there is still time to act.

IMPLEMENT

The date of issue of every recently issued transferable security is recorded in the security master at acquisition. The investment compliance system monitors the elapsed period daily and generates an alert at [15] business days and, on expiry of 20 business days without admission to an eligible market, an automatic reclassification of the holding as an unapproved security together with a headroom check against the applicable limit and escalation to the Head of Liquidity Risk. Derivatives referencing recently issued securities not yet admitted to an eligible market are subject to the same control.

EVIDENCE FOR THE FILE

The register with issue dates and admission status · the alert configuration · one worked ageing event and what happened to it · the transitional cohort tagging.

MODULE 11

Eligible markets

COLL 5.2.10-AG · Guidance · New

THE RULE

"In considering whether a market is adequately liquid for the purposes of COLL 5.2.10R(3)(e), the authorised fund manager should consider how the factors set out in COLL 5.2.7BG(2) and (3) apply **generically to the types of scheme property** in which it intends to invest through that market."

WHY IT EXISTS

The four security-level factors work at market level too, applied generically. The provision only reaches exchanges regulated outside the UK and EEA, because the criteria it supplements only apply to non-UK/EEA markets — the FCA rejected a request to extend it, on the basis that anything admitted to a UK or EEA market must still pass COLL 5.2.7AR anyway. The framing worth adopting internally is the FCA's own: the eligible asset test and the eligible market test are **not two separate tests**, and market-level liquidity is "secondary to the consideration of the liquidity in that market for the transferable security in question."

WHAT YOU MUST DO

1. Produce a market-level assessment for each non-UK/EEA exchange you use, applying the four factors generically to the asset types you intend to trade there.
2. Do it before first use of a new market, and refresh periodically.
3. Never let a favourable market assessment override an adverse security assessment.

SAY THIS TO YOUR CRO

- "Small piece of work, narrow scope: it only bites on exchanges outside the UK and EEA."
- "The important principle is one-directional — a liquid market never rescues an illiquid holding, but an illiquid market can condemn a holding that looks fine on its own numbers."

IMPLEMENT

Before a fund transacts on an exchange regulated outside the UK or EEA, the Risk function assesses whether the market is adequately liquid by considering how the factors in COLL 5.2.7BG(2) and (3) apply generically to the types of scheme property intended to be traded there. Consideration of the liquidity of a market does not override the assessment of any individual asset traded on it. Assessments are refreshed at least annually and on any material change in market structure.

EVIDENCE FOR THE FILE

A dated assessment per non-UK/EEA market, with the asset types covered.

MODULE 12

Liquidity bucketing and thresholds

COLL 6 Annex 5.12 · Guidance · New · The engine behind Modules 9, 13 and 14

THE RULE

"(2)(a) An authorised fund manager should employ a systematic and robust liquidity bucketing system that considers, at a minimum: (i) market depth and turnover; (ii) the time it would take to sell an asset or a portion of it under different market conditions; (iii) the likely market impact of large transactions; (iv) **operational features and potential frictions**; and (v) **valuation certainty**. ... (c) ... take account of the time it would take to sell transferable securities in the different buckets **without a price discount** and how the price would be affected if a sale is required within a shorter timeframe. (d) ... pay particular attention to the least liquid assets ...

(3)(a) ... liquidity thresholds which are proportionate to the redemption obligations **and other liabilities** of a scheme. For this purpose, the other liabilities ... include non-redemption pressures, such as margin and collateral calls from derivative counterparties."

WHY IT EXISTS

You cannot manage a portfolio's liquidity as one number, because liquidity is not a property of a fund — it is a property of each position at a given size, horizon and price. Bucketing turns that continuum into categories a committee can govern. The categories are arbitrary; the discipline is not. Note the two inputs no vendor supplies: **operational frictions** (settlement conventions, holidays, restrictions, lock-ups, FX repatriation) and **valuation certainty**. These come from your own operations and valuation functions, and they are the reason bucketing cannot be outsourced to a data feed.

THREE DESIGN RULES THAT STOP A BUCKETING SYSTEM FAILING REVIEW

1. **Bucket on time at a stated cost, never on time alone.** Anything sells today at some price. A bucket definition without a cost cap, participation cap and confidence level is not a definition.
2. **Bucket the position, not the security.** A name trading £40m a day is a one-day asset if you hold £2m and a three-week asset if you hold £60m.
3. **Re-bucket after stress results.** Annex 5.12(2)(b) requires review "including in response to any outcomes of its stress testing". Buckets computed quarterly and never revisited are a documented control failure.

WHAT YOU MUST DO

1. Define buckets by time to liquidate at a fixed cost cap, participation cap and confidence level.
2. Add operational and valuation overrides, sourced internally, that can only downgrade without committee approval.
3. Set thresholds on the profile, per fund, derived from the liability side — redemption behaviour *and* margin and collateral.
4. Report bucket *evolution*, not a snapshot. Annex 5.15(2) asks specifically for the coincidence of rising redemptions and falling liquidity.

SAY THIS TO YOUR CRO

- "Buckets are the plumbing. Eligibility, stress testing and the swing factor all read from them, so if the buckets are wrong everything downstream is wrong in the same direction."
- "Two of the five required inputs are ours, not the vendor's: operational frictions and valuation certainty. Those need Operations and Valuations to own a data feed into Risk."
- "Thresholds must cover margin calls as well as redemptions, so a fund running an overlay should carry a bigger cash and government line than an identical fund without one. That will be a live debate with the desks."

EXAMPLE

Fund A bucketed at the line level, on days to liquidate at the 20% participation cap:

Bucket	Definition	% NAV	Lines in it
L0	Cash, same day	9.0%	Cash and near cash
L1	≤ 1 business day	7.0%	US Treasury
L2	2–7 business days	59.0%	Both mega-caps, UK large cap, gilt, IG benchmark issue, developed equity ETF, high yield bond ETF
L3	8–30 business days	23.4%	UK mid cap, European small cap, IG small issue, high yield corporate, EM sovereign
L4	> 30 business days	1.6%	UK AIM holding

Thresholds, each derived from something:

Threshold	Level	Actual	Derivation
Minimum L0 + L1	≥ 10%	16.0%	99th percentile one-day outflow plus the settlement funding gap.
Minimum L0 – L2	≥ 60%	75.0%	Supports the five-day stressed redemption plus headroom; it is the constraint solved in Module 14.
Maximum L4	≤ 3%	1.6%	Above this the vertical-slice cost becomes punitive on a daily-dealt fund.
Maximum days to liquidate, any single line	≤ 20 days	50 days	Breach — the AIM holding.

Read the last row. Every fund-level number here is comfortable: three-quarters of the portfolio is realisable inside a week and the illiquid bucket is 1.6%. The only breach is a single line worth £8m. That is the characteristic result of doing this properly — **fund-level aggregates almost never bind; individual positions do** — and it is why the single-name limit belongs in the register alongside the profile limits. Module 14 shows what that one line does to the fund's break point.

IMPLEMENT – THE MODEL

Pull `LQA_LIQUIDATION_HORIZON` per position with `LQA_TGT_LIQUIDATION_COST` = 0.25, `LQA_TGT_COST_CONF_LEVEL` = 90, `LQA_TGT_PARTICIPATION_RATE` = 20. Bucket on the returned horizon. Then re-run the whole grid under the stressed parameter set and report **bucket migration** — how much of the fund drops a bucket — because the migration matrix, not the static profile, is what the committee needs to see.

Positions are classified at the size actually held by the fund, and not at the level of the security in isolation. Buckets are defined by the time required to liquidate the position at a cost not exceeding [25] basis points, evaluated at the [90th] percentile and at a participation rate not exceeding [20] per cent of expected daily volume. Classification on the basis of time alone, without a stated cost cap, participation cap and confidence level, is not permitted. The Head of Liquidity Risk may downgrade a classification on operational or valuation grounds; upgrades require Fund Liquidity Committee approval. Classification is performed at least monthly, on acquisition of any new position, and following any stress test whose outcome indicates a change in the liquidity of scheme property. A position is not treated as adequately liquid by reason only that it is admitted to trading on an eligible market, that the market as a whole is liquid, or that its value does not exceed a concentration limit in COLL 5.

EVIDENCE FOR THE FILE

The monthly classification run with parameter version · the override log · the limit register with threshold derivations · a bucket-migration report under stress.

MODULE 13

Stress testing is now unconditional

COLL 6.12.11R(2), 6.12.11AG, COLL 6 Annex 6 · Rule and guidance

THE RULE

~~"Where appropriate, the~~ **The** authorised fund manager must conduct stress tests to enable it to assess the liquidity risk of the UCITS under **both normal and exceptional circumstances.**"

COLL 6 Annex 6.16(1): "Liquidity stress testing should be carried out **at least quarterly** at all stages in a scheme's lifecycle or more frequently as an authorised fund manager considers appropriate", with the reasons for the frequency recorded in the policy.

Annex 6.15(2) sets out **twelve things the stress testing policy must contain**, listed below.

WHY IT EXISTS

Liquidity is a statement about the future. Inferring it from last month fails at exactly the moment it matters, because liquidity is state-dependent and evaporates in correlation with the events that create demand for it — which is why Annex 6.22(2) warns against over-reliance on historical data. Two words were removed from the rule and the obligation became unconditional and two-sided. Firms consistently miss the second half: *normal* conditions are not a formality, they are the baseline that makes a stressed number interpretable, and Annex 6.42 requires a time series "long enough to fairly reflect 'normal' conditions".

WHAT YOU MUST DO

Write the policy to the FCA's own contents list. The single cheapest compliance win in this whole package is to use their numbering and headings, so the mapping is self-evident.

Ref	Required content	What satisfies it, and the trap
(a)	Name of the scheme tested	A schedule of funds. <i>Trap</i> : new launches falling outside it — add a rule that a fund joins at launch.
(b)	Internal ownership and responsible function	A named role. <i>Trap</i> : naming "Risk" without naming who signs.
(c)	Frequency and the reasons for it	Quarterly baseline plus per-fund justification. <i>Trap</i> : stating frequency without reasons — the rule requires both.
(d)	Interaction with other procedures, including portfolio management and contingency plans	Cross-references to bucketing, calibration and the playbook. <i>Trap</i> : a stress framework that never touches the swing factor.
(e)	Internal reporting: frequency and recipients	A distribution list with dates. <i>Trap</i> : reporting to a committee that meets too rarely to act.
(f)	Role of senior personnel, including the governing body	What they decide, not what they receive.
(g)	Circumstances requiring escalation, including limit breaches	Numeric triggers. <i>Trap</i> : "material deterioration" undefined.
(h)	Initial validation of models and assumptions, independent of portfolio management	See Module 17. Note it need not be external to the firm.
(i)	Types and severity of scenarios and the reasons for selecting them	The scenario library with rationale. <i>Trap</i> : scenarios chosen because the data existed.
(j)	Data availability assumptions, rationale, and how often revisited	Where data is thin, say so and say what you do instead.
(k)	Methods for liquidating scheme property, including limitations and assumptions	The substantive one. State which method is used for which purpose — see the box below.
(l)	Periodic review, documentation of results, amendment procedure	The change-control loop.

THE DISTINCTION MOST FIRMS GET WRONG — TWO LIQUIDATION METHODS, TWO PURPOSES

Calibrating the anti-dilution tool uses the *vertical slice* (COLL 6.3.7CG(3)), because that is the fair basis for attributing cost.

Stress and reverse stress testing use *how you would actually sell* (Annex 6.24(1): "in a way that reflects how the authorised fund manager would liquidate scheme property during a period of exceptional market stress").

These are the same engine run two ways. Use only the slice and your stress test is wrong, because a strict slice caps Fund A at **10% of NAV in five days** — the AIM line, at 1.6% of the fund, becomes the binding constraint for the whole portfolio, and that is not what would actually happen. Use only the actual policy and your swing factor is wrong, because it will be calibrated on cheap assets. Build both, and say in the policy which is used where.

SAY THIS TO YOUR CRO

- "'Where appropriate' has gone. Stress testing is now unconditional for every UCITS, quarterly as a baseline, and it has to cover normal conditions as well as stressed ones."
- "The FCA has written our policy's table of contents for us — twelve items. I want us to use their numbering, so demonstrating compliance takes two minutes rather than two weeks."
- "One methodological point matters more than the rest: we run the same engine two ways — a pro-rata slice for pricing, and our real selling behaviour for stress testing. Confusing the two is the commonest error in the industry."

IMPLEMENT

The stress parameter set — fix it in the policy before running anything:

Parameter (LQA override)	Normal	Stressed	Justification to record
Confidence level (PY328)	50	90	Annex 6.28(1): a median assumption in a stress scenario is an optimistic assumption.
Participation cap (PY326)	20%	10%	Annex 6.30(2) prohibits assuming liquidation at full daily volume without empirical evidence. Evidence it from your own execution data.
Volatility scalar (PY228 / PY401)	1.0×	2.0×	Realised volatility multiple in the reference episode.
Volume scalar (PY229 / PY400)	1.0×	0.6×	Observed decline in traded volume for the relevant asset classes.
Spread scalar (PY402)	1.0×	3.0×	Applied on top of, not instead of, the impact term.
Market risk flag (PY371)	Y	Y	Annex 6.36: price movement during a slow exit is a real cost.

Liquidity stress testing is carried out at least quarterly for every fund, at all stages of the fund's lifecycle, under both normal and exceptional circumstances. A higher frequency of [monthly] applies to funds with any of: high dealing frequency combined with a less liquid asset base; a concentrated investor base; extensive use of derivatives; or an identified forthcoming event adverse to liquidity. The reasons for the frequency applied to each fund are recorded in Schedule 1. Ad-hoc testing is undertaken as soon as practicable where a material risk to a fund's liquidity is identified. Two liquidation methods are used: a pro-rata basis for the calibration of anti-dilution tools, and the stated stress liquidation policy — [drawdown of cash, then L1, then L2, subject to maintaining post-trade L0–L2 at not less than 60% of net asset value and to a maximum participation rate of 10% in any single security] — for stress and reverse stress testing. Model parameters are held in a versioned Model Parameter Schedule; every report states the version used.

EVIDENCE FOR THE FILE

The policy mapped to Annex 6.15(2)(a)–(l) · four quarters of results, normal and stressed · the scenario library with severity rationale · the parameter schedule with versions · evidence of actions taken in light of results (Annex 5.32(4)).

Reverse stress testing

COLL 6 Annex 6.3, 6.22–6.27, 6.53(3) · Guidance, with the qualifier deliberately removed

THE RULE

Defined at Annex 6.3 as "a fund-level stress test which starts from the identification of the pre-defined outcome with regards to fund liquidity (eg, the point at which the fund would no longer be liquid enough to meet requests to redeem units or to meet margin and collateral calls) and then explores scenarios and circumstances that might cause this to occur."

Annex 6.22(1): stress testing "should employ hypothetical and historical scenarios **and reverse stress testing**".

Annex 6.24: the simulation must reflect how you would actually liquidate in exceptional stress, and "should take into account the treatment of remaining, as well as redeeming, unitholders as well as the role of transaction costs and whether fire sale prices would be accepted."

The FCA removed ESMA's "where appropriate" qualifier, saying reverse stress testing "is one of the most important stress tests that can be performed", and noting that supervisory work on good practice in it "is ongoing".

WHY IT EXISTS

A forward stress test tests your imagination, and the scenarios that actually break funds are rarely in the library — a platform migration, one insurer withdrawing a mandate, a ratings trigger in a segregated mandate. Reverse stress testing sidesteps the problem by starting from failure. Its real value is that it produces **a number you can compare to a fact you already hold**: your largest investor, your top three, your biggest distributor. "In scenario 3 we would need six days" cannot be compared to anything. "The fund breaks at a 37.5% five-day redemption, and one platform holds 41%" can be compared to a register.

WHAT YOU MUST DO

1. **Define failure before you run anything**, and define it several ways. One definition invites the answer "we hold enough cash"; four expose *which* mechanism fails, and therefore which remedy works.
2. Simulate on your actual liquidation policy, not the vertical slice.
3. Report the break point with its uncertainty band.
4. Set it against investor and distributor concentration, and against the worst outflow you or your peers have seen.
5. **End with a decision.** Annex 6.26(1) frames the output as whether action is needed or whether circumstances would be exceptional enough to warrant suspension.

SAY THIS TO YOUR CRO

- "This is guidance, but the FCA deliberately removed the get-out and has supervisory work under way on it. Treat it as expected."
- "It answers the only liquidity question a board actually wants answered: how big a redemption breaks this fund, and is that number bigger than our largest investors put together?"
- "On our UK equity fund the answer is uncomfortable, and I would rather bring it to you than have it found."

EXAMPLE

Fund A, five-day horizon, failure defined four ways. The fund's stated stress liquidation policy is: draw cash, then L1, then L2, subject to keeping L0–L2 at not less than 60% of post-redemption NAV. Pre-stress, L0–L2 is £375m against £500m of NAV.

$$(375 - R) \div (500 - R) \geq 0.60 \rightarrow 75 \geq 0.40R \rightarrow R \leq \text{£187.5m} = 37.5\% \text{ of NAV}$$

Failure	Definition	Break point	Reading
Profile	Post-trade L0–L2 below 60% of NAV	37.5%	Binds under the waterfall policy. The headline number.
Settlement	Cash raised by T+3 below proceeds due	72.4%	Three-day capacity is £362m. Not binding.
Cost	Blended cost on the redeemed slice above 200 bp	> 75%	Not binding — the waterfall takes cheap assets first.
Fire sale	Any single line needing more than 25% participation	12.5%	Binds <i>if you slice</i> . See below.

The two answers, and why both are true. Five-day capacity is £413m — 82.7% of the fund. On any aggregate measure this portfolio is extremely liquid. But the fund faces a genuine choice under stress, and the two liquidation policies give different break points:

Policy	What it protects	Breaks at	What it costs you
Waterfall — sell the liquid lines first	The fund's ability to pay	37.5%	Degrades the portfolio. Remaining investors are left with proportionally more high yield, EM and the AIM line. The harm is deferred, not avoided.
Vertical slice — sell a share of everything	The portfolio's shape, and fairness between investors	12.5%	The AIM line is the constraint: a 12.5% redemption would require selling it at more than 25% of its daily volume. Beyond that you are a distressed seller in one £8m holding. The European small cap follows at 25%.

Now compare with the register. Largest single investor 12.0% — below both. Top three combined 27.0% — above the slicing constraint, below the waterfall break point. Largest platform **41.0%** — above both.

That is the finding, and it is precise enough to act on. A single distributor decision — a model portfolio rebalance, a platform migration — exceeds this fund's capacity to respond without either becoming a forced seller in specific names or materially degrading what remains. Note what did *not* produce it: aggregate liquidity, cash, or the profile threshold. The constraint is one £8m line at 1.6% of the fund, and one distributor relationship. **Running four definitions on fifteen lines is what surfaces that; a fund-level test on asset-class averages would have reported 37.5% and a clean bill of health.**

IMPLEMENT

Model steps: for every position, pull `LQA_LIQUIDATION_VOLUME` (PY248) under the stressed parameter set across a grid of cost budgets (25, 50, 100, 200, 400 bp) at a five-day horizon. That matrix — how much you can raise, at what cost — is your capacity surface and is itself the asset-side stress test. Then apply the stress liquidation policy as a constraint set and solve for each failure definition. Re-run at one uncertainty band below (`LQA_LIQUIDATION_VOLUME_UNC`, PY249) to get the range.

Reverse stress testing is performed for every fund at least quarterly and additionally on any material change in portfolio composition, investor concentration or market conditions. Before each test the following outcomes are defined and each is tested separately, the tightest being reported as the headline break point: a liquidity profile breach; a cost breach; a settlement breach; a fire sale, being liquidation of any single position at a participation rate exceeding [25] per cent of expected daily volume or at a material discount to fair value; and, where relevant, the point at which margin or collateral calls could not be met. The simulation reflects how [Firm] would in fact liquidate in exceptional stress, takes into account the treatment of remaining as well as redeeming unitholders, the transaction costs incurred, and whether fire sale prices would in fact be accepted; where they would not, the corresponding capacity is excluded. Each break point is reported as a point estimate and a range, alongside the largest single investor holding, the aggregate of the [three] largest investors, the largest distributor holding, and the largest historical outflow for the fund and its peer group. Every test concludes with one of: acceptance with reasons; a change to portfolio composition or limits; a change to redemption terms; a change to the liquidity management toolkit; or a determination that the circumstances would warrant suspension.

EVIDENCE FOR THE FILE

Failure definitions set in advance · the capacity surface · break points with ranges and the concentration comparison · the recorded conclusion and the action taken.

MODULE 15

Non-redemption pressures: margin, collateral, financing

COLL 6 Annex 5.33–5.37, Annex 6.47–6.49 · Guidance · New

THE RULE

Annex 5.33(2): consider "(a) the potential for increases in variation margin and collateral calls due to adverse market price movements; (b) the potential for counterparties to increase initial margin and haircuts; and (c) the risk that counterparties to a securities financing transaction **terminate or refrain from 'rolling over'** existing financing arrangements in a stressed situation."

Annex 5.33(3)(b): ensure the fund holds "a sufficient quantity of liquid assets and eligible collateral to meet margin or collateral calls in a timely manner, including in **extreme but plausible** stressed conditions."

Annex 6.48(1): stress testing "should determine the circumstances in which liquidity risk cannot be mitigated – for example, a level of margin calls a scheme would not be able to fund."

WHY IT EXISTS

Investors *ask* for money; counterparties *take* it. A redemption arrives through a dealing cut-off, can be priced through an anti-dilution mechanism and, in extremis, deferred or suspended. A margin call arrives by email on a fixed timetable, cannot be priced, cannot be deferred, and failure to meet it is a default event permitting close-out. There is no liquidity management tool for a margin call other than having the cash. Worse, the calls are largest exactly when assets are hardest to sell, because both are driven by the same volatility — which is why the results have to be combined rather than added independently.

WHAT YOU MUST DO

1. Model all three channels, including the one usually omitted — a counterparty declining to roll.
2. Combine with redemption stress; use the *combined* result to set thresholds.
3. Identify the point at which calls could not be funded, and put that in the contingency plan.

4. Test operational readiness: intraday call identification, market cut-offs, collateral dispute handling, and that collateral is unencumbered and accessible where re-hypothecation is used.
5. Talk to your counterparties and collateral managers at least annually, and after any stress event, about how their risk management would respond in a stress.

SAY THIS TO YOUR CRO

- "Every market risk scenario we run should have a cash column. If our 100 basis point rates scenario does not say what margin it calls, our market risk and liquidity frameworks are describing different worlds."
- "The channel we do not currently model is a counterparty simply declining to roll financing. That is a full cash demand at maturity, and it happens in exactly the week everything else does."
- "The deliverable here is not the shortfall number. It is the documented plan for the shortfall, and the point at which the plan fails."

EXAMPLE

Fund A's own overlay: £450m notional interest rate swaps (DVo1 £405k per basis point), £80m FX forwards, £120m gilt repo financing. Eligible collateral is the £45m cash line and the £65m gilt.

Five-day shock, extreme but plausible	Cash demand	Channel
Rates +100 bp against the position	£40.5m	Variation margin
CCP raises initial margin 40% (from £27m)	£10.8m	Procyclical initial margin
GBP moves 6% against the forwards	£4.8m	Variation margin
Gilt repo haircut 2% → 6%	£4.8m	Haircut widening
One counterparty declines to roll £40m	£40.0m	The channel usually missed
Total demand	£100.9m	20.2% of NAV
Available: cash less a £20m operating minimum, plus the gilt at a 6% haircut	£86.1m	£25m + £61.1m
Shortfall	£14.8m	Before a single investor redeems

Twenty per cent of the fund demanded in cash, on a fixed timetable, by parties with the contractual right to close out — with no redemptions at all. And the £14.8m has to be raised by selling into the same shock: at that moment the gilt and Treasury lines are already committed as collateral, so the next cheapest sources are the mega-caps and the equity ETF, which is a forced de-risking of the fund's most liquid holdings.

This is why Annex 5.12(3)(a) says thresholds must be proportionate to redemption obligations *and other liabilities*, and why the same fund without the overlay would justify a materially smaller cash line. It is also why the combination matters: a 41% platform redemption and a 100 basis point rate move are not independent events, and modelling them separately understates the joint demand.

IMPLEMENT

The Risk function assesses, at least monthly and within each stress cycle: the potential for increases in variation margin and collateral calls from adverse price movements; the potential for counterparties to increase initial margin and haircuts; and the risk that a counterparty terminates or declines to roll an existing financing arrangement. The third channel is modelled on the assumption that the largest single financing arrangement maturing within the stress horizon is not rolled and cannot be replaced within that horizon, unless a documented and evidenced basis exists for a different assumption. Non-redemption pressures are stress tested both separately from, and in combination with, redemption stress; the combined result is the basis for threshold setting. Where a shortfall is identified, it is escalated to the Fund Liquidity Committee and the contingency plan is updated to address it. [Firm] tests annually the operational readiness of its collateral processes, including that collateral is unencumbered and accessible within the required timeframe, and maintains bilateral contact with counterparties and third-party collateral managers at least annually and after any stress event.

EVIDENCE FOR THE FILE

The combined stress results · the identified unfundable point and the plan for it · the collateral quality review · the operational readiness test · records of counterparty engagement.

MODULE 16

Governance, escalation and management information

COLL 6 Annex 5.14–5.27, 5.32 · Guidance · New

THE RULE

Annex 5.14: liquidity risk management should be "a prominent part" of governance and "integrated into its permanent risk management function", with an internal framework having "appropriate representation from all areas of the firm, **including risk and distribution**".

Annex 5.17: internal governance arrangements should include, at a minimum: "(1) objective criteria for making decisions and for the application of liquidity management tools; (2) a clear methodology, including calibration ...; (3) the identification of the relevant parties involved ..., their respective functions and responsibilities, and the system in place for coordinating their respective inputs; (4) the sources of information and data used; (5) the controls to be carried out (including reviews on the use of liquidity management tools **and any adjustments to the calibration of the anti-dilution mechanism**) and their frequency; (6) the documentation of recommendations and decisions ... and the basis for them; and (7) the escalation processes and oversight in place to ensure governance by the governing body."

Annex 5.16: document protocols for escalating liquidity issues "**and increasing governance frequency during volatile market conditions**". Annex 5.23: monitor large redemptions *and cumulative smaller redemptions*, with escalation for both, and "should not rely solely on third-party administrators". Annex 5.27: do not rely exclusively on quantity-based tools — use anti-dilution tools first.

WHY IT EXISTS

The FCA's 2023 review found "many firms attach insufficient weight to liquidity risk management in governance arrangements ... with insufficient challenge and escalation, particularly in stressed environments", and oversight of stress testing that was deficient "with little tracking of both actions and trends over time". Almost every paragraph in Annex 5's governance block traces to that finding. The structural point is that liquidity is the only major fund risk that is simultaneously a market risk, an operational risk and a product design risk — the desk controls the exposure, operations controls the ability to execute, distribution controls the liabilities, and only risk sees the whole. That is why distribution is named: nobody else knows which platform is about to rebalance.

Worth knowing: Annex 5.17's seven limbs are IOSCO's governance guidance transposed almost word for word. If you want the reasoning behind a limb, read IOSCO's anti-dilution guidance for it.

WHAT YOU MUST DO

1. Give the committee the seven-limb remit verbatim, with a **distribution seat**.
2. Write a *pre-authorised* cadence trigger: what moves the committee from monthly to daily, and who calls it. Arranging that on the day is too late.
3. Monitor cumulative smaller redemptions as well as large ones, on data reconciled independently of the transfer agent.
4. Report bucket *evolution* and redemption trends, not a snapshot, and specifically the periods where the two move together.
5. Make the governing body *address* weaknesses, not receive them. Minute the decision, not the receipt.
6. Close the loop: the retrospective assessment must be able to change the calibration, and Annex 5.17(5) makes that capability part of the required control set.

SAY THIS TO YOUR CRO

- "Two things here are new in substance rather than form: distribution has to sit on the committee, and we need a written trigger that moves us to a daily cadence in volatile markets without anyone having to ask permission."
- "The FCA's 2023 finding was that firms had arrangements for one big redemption but not for lots of small ones. That is the monitoring gap, and it is a reporting change rather than a systems change."
- "An action log with ageing is more persuasive to a supervisor than any methodology paper. Their criticism last time was that firms did not track actions and trends over time."

EXAMPLE

Fund A sees redemptions of 0.5% a day for fifteen consecutive days. No single day is remarkable, no large-deal trigger fires, and the transfer agent's report shows nothing unusual. Cumulatively it is 7.5% of the fund — **£37.5m against a £45m cash line**. The cash is all but gone, the fund's most liquid buffer has been consumed, and the first anyone notices is the month-end pack. A cumulative trigger over rolling five and ten-day windows catches it inside the first week. This is precisely the case Annex 5.23(1) was written for.

IMPLEMENT

Membership. The Fund Liquidity Committee comprises [Chief Risk Officer] (Chair), Head of Liquidity Risk, Head of Portfolio Management or nominee, Head of Trading, **Head of Distribution or nominee**, Head of Fund Operations, and Compliance. Quorum is [three] including the Chair or delegate and at least [two] members independent of portfolio management.

Cadence. The Committee meets at least monthly and moves to a daily standing call, chaired by [role] with a quorum of [two], on the occurrence of any of: breach or projected breach of a liquidity threshold; a stressed redemption coverage ratio below [1.5]; an inability or projected inability to meet a margin or collateral call; suspension or gating in a fund in which a fund invests or in a fund managed by [Firm] with a similar strategy; or a determination by the Head of Liquidity Risk that market conditions are volatile. This change requires no further authorisation and continues until the Committee determines otherwise.

Monitoring. The Risk function monitors daily, for each fund: gross and net flows; the largest single redemption; cumulative net redemptions over rolling [5, 10 and 20] dealing days; flows by investor and by distributor; and the bucket profile. Monitoring is performed on data sourced independently of, and reconciled to, the third-party administrator.

Order of tools. Tools are considered in order: anti-dilution tools including large-deal provisions; portfolio actions; quantity-based tools available to the fund; suspension. A decision to move to the next stage records why the preceding stage is inadequate. A redemption request from an individual unitholder will not be refused solely for reasons relating to the fund's lack of liquidity.

Reporting. Every meeting considers: bucket profile and its evolution since the last meeting; redemption trends including cumulative smaller redemptions; threshold status; anti-dilution application statistics and non-applications above [threshold]; stress and reverse stress results in cycle; model overrides and validation findings; and the ageing of open actions. The governing body considers the information reported to it, addresses any weaknesses identified, and at least [semi-annually] explicitly considers whether liquidity risk management processes are adequate and operating in the best interests of investors; the consideration and conclusion are minuted.

EVIDENCE FOR THE FILE

Terms of reference with the seven limbs and the distribution seat · the cadence trigger · MI pack showing bucket evolution and redemption trends over time · minutes recording decisions · the action log with ageing · a case where numbers looked bad and what was done.

Delegated managers, third-party models, and the depositary

COLL 6 Annex 6.12–6.14, 6.28–6.30, 6.63–6.66; PS26/17 ch.5 · Guidance

THE RULE

Annex 6.13: where portfolio management is delegated, the AFM "should pay particular attention to the independence requirement in order to avoid reliance on, or influence by, the third party's own liquidity stress testing." Annex 6.14(2): do not allow portfolio management staff, "including portfolio managers from separate legal entities", to exercise undue influence over stress testing, "including reliance on judgements relating to asset liquidity".

Annex 6.28: overcome data limitations by "(1) avoiding optimistic assumptions; (2) **justifying reliance on third parties' liquidity stress testing models**, including where the model is developed by a third-party portfolio manager; and (3) exercising expert qualitative judgement." Annex 6.30(2): "should not assume that a portfolio can be liquidated at the full average daily traded volume of an asset unless such an assumption can be justified based on empirical evidence."

Annex 6.63: the depositary should verify that documented procedures exist; "(2) The verification procedures do not require the depositary to assess the adequacy of the liquidity stress testing." Annex 6.66: it "does not need to replicate or challenge" the testing.

WHY IT EXISTS

Delegation moves the activity but not the responsibility, and in liquidity that split is unusually dangerous: the delegate controls what the fund buys, while the AFM carries the obligation to redeem. The FCA declined to write new host-AFM rules, pointing instead to the Woodford Decision Notices as explaining the "distinct but complementary responsibilities" of the AFM and the MiFID manager — which means the gap is a supervisory matter and the only evidence a supervisor sees is the evidence you generate.

Third-party models are permitted — COLL 5.2.7BG(3) expressly allows third-party analysis — but a vendor model is an opinion about other market participants, calibrated on data you cannot see, by a party with no duty to your unitholders. The parameters, though, are yours: confidence level, participation cap, horizon. Those usually matter more to the answer than the model does.

The depositary's role is deliberately narrow, and both over- and under-performing it causes problems — a depositary assessing methodology duplicates your function and creates a second opinion on the same question.

WHAT YOU MUST DO

1. Run your own classification and stress testing. Treat a delegate's output as an input, reconcile it monthly, and resolve differences conservatively pending committee determination.
2. Get position-level data rights and access to execution data in the delegation agreement. Without them you cannot discharge COLL 5.2.7AR.
3. Write down what your liquidity model computes, what drives it, and where it extrapolates rather than interpolates. You cannot justify reliance on a model you cannot describe.
4. **Back-test it against your own executions** — the single most persuasive validation artefact you can hold.
5. Hold every parameter in one versioned schedule under committee approval. Log every override with reason and approver; review the log quarterly for one-way bias.
6. Give the depositary the documented procedures and the decision records. Decline requests to approve methodology, citing Annex 6.63(2) and 6.66.

SAY THIS TO YOUR CRO

- "Delegation does not move any of this. We classify, we stress test, we calibrate — the delegate informs us, and we reconcile monthly."
- "On the vendor model: the model is theirs, but the assumptions are ours, and the assumptions drive the answer. Confidence level and participation cap are governance decisions, not analyst settings."
- "The four questions I want us able to answer in writing are: why do we believe these numbers; what does the model do when it does not know; who chose 90th percentile rather than median; and show me a case where we overrode it. An override log with no entries is not a good model, it is no challenge."

EXAMPLE

The vendor releases a methodology upgrade. Modelled costs fall 15% across the book. Nobody notices, because it arrives as a data refresh. The next morning every swing factor is 15% lighter, every bucket looks better, and every break point moves out — and the change was made by a third party with no duty to your unitholders. This is why a vendor methodology change is a Module 17 change-control event requiring re-validation, quantification of the effect on factors, buckets and break points, and committee approval before adoption.

IMPLEMENT

Delegation. Delegation of portfolio management does not transfer any element of [Firm]'s responsibility for liquidity risk management. All liquidity classifications, stress testing, anti-dilution calibration and decisions on the use of liquidity management tools are made by [Firm]. The delegate may not exercise influence over classifications, model parameters, scenario selection or severity, including through judgements relating to asset liquidity. Every delegation agreement provides for position-level data at [daily] frequency, access to the delegate's execution data for back-testing, notification of any material change in the liquidity of a holding, and [Firm]'s right to direct or restrict transactions where required to maintain the fund's liquidity profile. The Risk function reconciles its own classifications to any produced by the delegate at least monthly; divergence is resolved in favour of the more conservative classification pending Committee determination.

Models. Before a third-party model is used, and at least annually thereafter, the Risk function documents what it computes, the principal drivers of its output, the data on which it is calibrated, the instrument classes for which it extrapolates, and the basis on which reliance is justified. Validation comprises: assessment of conceptual soundness; quarterly back-testing of modelled costs against [Firm]'s realised execution costs for orders above [threshold], tested for bias and tail behaviour; annual benchmarking against an independent source; annual sensitivity testing; and monthly review of positions where the model has limited data. All parameters are held in a versioned Model Parameter Schedule approved by the Committee and may not be varied for an individual run. It is not assumed that a portfolio can be liquidated at full average daily volume; participation caps are supported by empirical evidence from [Firm]'s own execution data. A material change to a third-party model, including a vendor methodology release, requires re-validation, quantification of its effect on calibration, classification and stress results, and Committee approval before adoption. Every override of a model output is logged with reason and approver and reviewed quarterly for pattern.

Depositary. [Firm] provides the depositary with the Liquidity Stress Testing Policy and any amendment, confirmation that the risk management process provides for stress testing, the schedule of funds and frequencies, and on request evidence that testing was performed and the anti-dilution decision record for any valuation point. The depositary is not required to assess the adequacy of [Firm]'s models, assumptions, methodologies or outputs, nor to replicate or challenge the testing. [Firm] notifies the depositary at least [30] days before first introducing an anti-dilution mechanism in any fund or changing the type of mechanism used.

EVIDENCE FOR THE FILE

Model description and validation reports · back-test against own executions · parameter schedule with version history · override log · delegate reconciliation · the depositary information pack.

Money market funds: what switches off

COLL 6.3.1R(3), PS26/17 §5.19 · Scope

THE RULE

PS26/17: "Where new guidance has been added, this will not apply to MMFs." The FCA has preserved the status quo pending replacement of the UK Money Market Funds Regulation with a Money Market Funds sourcebook, and stress-testing arrangements for MMFs "will be covered in future work on updating the UK MMF regulatory regime."

WHY IT EXISTS

MMFs have their own liquidity regime with daily and weekly liquid asset requirements, and layering a second regime designed for equity and credit funds on top would create duplication and possibly conflict. The carve-out is temporary and explicitly holds the position open.

WHAT YOU MUST DO

Set the scope fund by fund in the policy schedule. Both errors are findings: silently extending the new annexes to MMFs and then failing them, and silently exempting MMFs from the provisions that *do* apply.

Applies to a UCITS or NURS that is an MMF	Does not apply
Glossary "dilution"	COLL 5.2.7AR · 5.2.7BG · 5.2.8R · 5.2.10-AAG
COLL 4.2.5R(18), with current requirements preserved	COLL 6.3.5BAG
COLL 5.1.2G(1A)	COLL 6.3.7AR · 6.3.7BG · 6.3.7CG · 6.3.7DG
COLL 6.3.2G	COLL 6.3.8BR · 6.3.8CG
COLL 6.3.8AG	COLL 6.12.11AG
COLL 6.6.3R (conflicts)	COLL 6 Annex 5 and COLL 6 Annex 6 in full
COLL 6.12.11R (stress testing), until MMFR revocation	FUND 3.6.3AG

SAY THIS TO YOUR CRO

- "Our MMFs are out of scope for the new anti-dilution obligation, the two new annexes and the annual assessment — but they stay in scope for the conflicts rule and for stress testing until the MMF Regulation is revoked."
- "This is a scope decision we should write down fund by fund rather than infer, because getting it wrong in either direction is a finding."
- "Expect a separate MMF workstream when the sourcebook consultation lands."

EVIDENCE FOR THE FILE

The policy schedule stating, per fund, whether it is a regulated MMF and which provisions apply.

Doing it

The tool, the plan, the conversation, and the file

E. The Bloomberg LQA quick reference

LQA answers one question per instrument: *if I trade this much, what will it cost, how long will it take, and how uncertain are both?* The output is a joint distribution over cost and time given volume, which is exactly the shape COLL 6 Annex 6 asks for. Two engines sit behind it: for equities, a transient market-impact model of the square-root family; for fixed income, a cross-sectional model of latent available volume trained on bond characteristics — which is why it returns values for bonds with almost no trading history, and why those are the values your validation must scrutinise.

Outputs

Field	ID	Use
LQA_LIQUIDATION_COST	PY251	Cost, % of value, for a target volume within a target horizon. The input to swing-factor calibration (Module 4) and to the cost limb of every stress test.
LQA_LIQUIDATION_COST_UNC	PY252	Uncertainty band. Use it to bias calibration conservatively — Annex 6.28(1), avoid optimistic assumptions.
LQA_LIQUIDATION_HORIZON	PY254	Time to liquidate within a cost budget. The input to bucketing (Module 12) and to the eligibility assessment (Module 9).
LQA_LIQUIDATION_HORIZON_UNC	PY255	Uncertainty band on the horizon.
LQA_LIQUIDATION_VOLUME	PY248	How much can be liquidated within a cost and time budget. The engine for reverse stress testing (Module 14) — capacity, not cost, is the natural question there.
LQA_LIQUIDATION_VOLUME_UNC	PY249	Band on capacity. Use it to put a range around the break point.
LQA_EXPECTED_DAILY_VOLUME	PY229	The denominator behind COLL 5.2.7BG(2)(b). Pull and store it.
LQA_LIQUIDITY_SCORE / LQA_SECTOR_SCORE	PY275 / PY338	Percentile ranks, useful as monitoring indicators and screens. Not a substitute for a cost or horizon in a bucket definition. The sector score earns its place in credit: it flags a bond unusually illiquid <i>for its type</i> .

Overrides — where your regulatory assumptions live

Override	ID	What it encodes
LQA_TGT_LIQUIDATION_VOLUME	PY247	Trade size. For the vertical slice: <i>position</i> × <i>redemption</i> %.
LQA_TGT_LIQUIDATION_HORIZON	PY253	Time budget in days. Settlement obligation for the settlement test; five or twenty days for the profile test.
LQA_TGT_LIQUIDATION_COST	PY250	Cost cap. This is what operationalises "without a price discount" in Annex 5.12(2)(c) — set a cap and read the horizon, rather than setting a horizon and accepting any cost.
LQA_TGT_COST_CONF_LEVEL	PY328	Percentile. The most important governance parameter here. 50 for normal, 90 for stressed. Fix it in policy; never let it drift.
LQA_TGT_PARTICIPATION_RATE	PY326	Share of market volume. Where Annex 6.30(2) lives. Cap it, and evidence the cap from your own execution data.
LQA_PRICE_VOLATILITY / LQA_EXPECTED_DAILY_VOLUME / LQA_BID_ASK_SPREAD	PY228 / PY229 / PY273	Override upward or downward to build a stressed run inside the model rather than scaling the output afterwards — which preserves the interaction between spread, volume and capacity.
LQA_MARKET_RISK_FLAG	PY371	Include the market-price-risk component. Set Y for stress testing: price movement during a slow exit is a real cost.
Factor scalars · direction	PY400– 402 · PY472	Volume, volatility and spread scalars — the cleanest way to express a scenario as a triple. Direction matters given buy/sell asymmetry.

How to pull it, and what it will not give you

Route	Use
LQA <GO>	One security, interactive. Investigation, and the evidence screenshot in a security assessment file.
PORT <GO>	Portfolio aggregation and days-to-liquidate views. A fast first cut, not a controlled model run.
Excel	Overrides as arguments, e.g. <code>=BDP("VOD LN Equity","LQA_LIQUIDATION_COST", "LQA_TGT_LIQUIDATION_VOLUME=250000", "LQA_TGT_LIQUIDATION_HORIZON=5", "LQA_TGT_COST_CONF_LEVEL=90")</code>
BQL / Data License	Production. Preferred, because the request itself is the audit record of the assumptions used. Feed the nightly swing schedule and the quarterly stress run from here, versioned, with the parameter set stamped into the header.

FOUR THINGS TO BE CLEAR ABOUT BEFORE YOU BUILD

1. **Confirm the field semantics first.** Identifiers, permissible override combinations and units — percent versus basis points, calendar versus trading days — vary by asset class and change between terminal releases. Run a controlled test on known securities, confirm with the helpdesk, and record the confirmation. A framework quietly running on calendar days when you meant business days is an easy and expensive error, and you will discover it a year later in the retrospective assessment, as a bias with investor money attached.
2. **LQA gives you implicit costs only.** Commission, stamp duty, financial transaction taxes and custody charges are yours to add, by market and instrument type.
3. **It says nothing about the liability side.** Who redeems, what margin is called, whether you would in fact sell — none of that is in the model. Roughly, LQA discharges the asset-side quantitative half of Annex 6 and none of Annex 5's governance half.
4. **Operational frictions and valuation certainty are not in it either,** and they are two of the five required bucketing inputs. Those come from Operations and Valuations.

F. The first 90 days

Week	Do	Output
1–2	Run the three-argument sweep across eligible-asset files (Module 9). Pull the twelve hard rules against current practice, fund by fund. Identify which funds are dual-priced and therefore newly in scope.	Gap list, ranked
3–4	Build the vertical-slice calibration on one representative fund and parallel-run it against the current method. Quantify the difference in basis points and in pounds per year.	The number that funds the programme
5–6	Run the stressed calibration on every fund and compare with disclosed maxima. Confirm LQA field semantics with the helpdesk.	Prospectus impact list; model file note
7–8	Set materiality thresholds per fund with the analysis behind them. Draft the Model Parameter Schedule. Start prospectus drafting on the funds where the cap binds.	Parameter schedule for committee
9–10	Build the 20-business-day control and tag the transitional cohorts by date of issue. Rebuild the eligibility template around the four factors.	System control; assessment template
11–12	Write the stress testing policy to the twelve headings. Define the four failure points and run the first reverse stress test on the running fund.	Policy; first break point
13	Take the package to the committee: gap list, calibration impact, prospectus impact, thresholds, the first break point against investor concentration.	Approved plan and budget

Sequencing note: prospectus work is the long pole, because it needs legal, product and distribution capacity simultaneously and the transitional expires 1 August 2027. Everything else can be built in parallel; that cannot be compressed.

G. The CRO briefing — one page, ten minutes

WHAT HAS HAPPENED

The FCA has finalised PS26/17. It applies to our UCITS and NURS, comes into force on 1 February 2027, and gives us until 1 August 2027 to update prospectuses. It is not a rewrite — the FCA thinks the framework is broadly sound and has made targeted changes. The industry-wide cost estimate is £1.6m a year, which tells you the scale they expect.

WHAT ACTUALLY BINDS US — TWELVE RULES, FOUR THAT MATTER

1. **We must have an anti-dilution tool and use it when dilution is material.** We already have tools, so the substance is that "available" now means executable at the next valuation point — and we have never tested that end to end with the transfer agent.
2. **We must calibrate on a pro-rata slice of the whole portfolio, including market impact.** Today we effectively price on what we sell. On our multi-asset fund that is the difference between half a basis point and 25 — about £48,000 on a single 4% redemption day, and roughly £1.4m a year. This is where the implementation cost sits.
3. **We must produce an annual assessment of our anti-dilution decisions, including the days we chose not to act,** and quantify whether investors were treated fairly. That means recording non-decisions from day one; we cannot reconstruct them later.
4. **Stress testing is now unconditional and quarterly, and reverse stress testing has lost its opt-out.** The FCA has supervisory work under way specifically on reverse stress testing.

WHY THEY HAVE DONE IT

The FCA surveyed 272 UK funds with the Bank of England. Only 4 lacked anti-dilution tools — but only **13 included market impact in their swing factors**, and funds with different strategies were using identical thresholds. Its 2023 multi-firm review found firms modelling liquidity by assuming they would sell cash and their most liquid assets first, which it said gave management "a misleading view of a fund's true liquidity position". This package is aimed squarely at those two findings.

WHAT I WANT YOU TO KNOW THAT IS NOT IN THE POLICY STATEMENT

- **Several of our prospectuses cap the dilution adjustment below what our stressed calibration produces.** As drafted, those caps stop the mechanism working in exactly the conditions it exists for. It is a drafting fix, but it needs to start now because legal and product capacity is the constraint, not the deadline.
- **Our largest distributor is bigger than our capacity to respond.** On the running example the fund breaks at a 37.5% five-day redemption if we sell liquid assets first, or at 12.5% if we preserve the portfolio by slicing — and one platform holds 41%. A single distributor decision exceeds both. I would rather bring that to you than have it found.
- **The binding constraint is never the fund-level number.** On our example 83% of the portfolio is realisable in five days and the illiquid bucket is 1.6% — yet the whole thing is constrained by one £8m AIM holding that takes fifty days to exit. The remedy is a position-level limit on days to liquidate, not a bigger cash buffer. This only shows up if we measure line by line, which is how we now run it.
- **The calibration parameters must sit outside the desk's control.** The commercial pressure on a swing factor is always downward: a higher factor protects remaining investors but depresses reported dealing outcomes and irritates distributors. Independence of the parameter schedule is the control that resists that, and I would defend it in any cost-reduction exercise.

WHAT I AM ASKING FOR

1. Endorsement of the twelve-item scope and the 90-day plan.
2. A distribution seat on the liquidity committee, and a pre-authorised trigger that moves us to a daily cadence in volatile markets.
3. Prospectus drafting to start this quarter, ahead of the deadline.
4. Four standing Board questions from February 2027: is any fund's break point below its plausible redemption; is any fund's stressed swing factor above its disclosed cap; is any fund's strategy, liquidity profile and redemption policy out of alignment; and is any stress-test action older than 90 days.

H. What a supervisor asks for, and the file that answers it

The request	What you hand over	Module
"Your liquidity risk management policy and the standards under it."	Policy with approval dates and version history	All
"How do you decide whether to swing? Show me a week of decisions."	The rate schedule and seven days of decision records, including one non-application with its computed figure	2, 3
"How is the factor calibrated? Show me the calculation for one fund."	Vertical-slice output for a named date, parameter version, explicit cost table	4
"Show me the last retrospective assessment."	The five quantified tests, the action log, closure evidence	7
"Your stress testing policy."	Indexed to Annex 6.15(2)(a)–(l) so the mapping is self-evident	13
"Your last reverse stress test, and what you did about it."	Four failure definitions, break points with ranges, the concentration comparison, the recorded conclusion	14
"Read me the positive reason this small cap does not compromise your ability to redeem."	The assessment record with all four factors and a named Risk reviewer	9
"Show me the 20-day clock working."	The register, one security that aged out, and what happened to it	10
"How do you know your liquidity model is right?"	Back-test against your own executions; the override log	17
"Where did the Board consider this?"	Minutes recording a decision, not receipt	16
"Show me a fund where the numbers looked bad and tell me what happened."	Escalation record, committee minute, action, closure	16

The last one separates a real framework from a paper one, and it is usually asked last.

I. Accuracy and sources

Verified against the primary documents. Every quoted Handbook provision is reproduced from FCA 2026/54 as made. Load-bearing facts and their sources: publication 13 August 2026 and commencement 1 February 2027 (PS26/17 and instrument paragraph C); transitional provisions (COLL TP 1.1 rows 70–72); nine consultation responses and the £1.6m equivalent annual cost (PS26/17 §1.16, §1.39); the 2020 survey figures of 51 AFMs, 272 funds, 4 without tools and 13 considering market impact (§1.30–1.31); the reduction to 20 business days and its cross-references (COLL 5.2.8R(3)(e) and ch.4 response); the 10% and 20% unapproved buckets (§4.5); vertical slicing as a calibration baseline rather than an execution requirement (ch.3 response); the refusal to give illiquid NURS a calibration concession (ch.3 response); the MMF scope table (§5.19); and the reasoning against prescribing triggers (ch.2 response). Multi-firm review findings are from the FCA's Dear CEO letter of 6 July 2023. Quoted IOSCO material is from its anti-dilution liquidity management tools guidance, which COLL 6 Annex 5.38 directs AFMs to consider.

Relied on with a limitation. Bloomberg LQA field identifiers and override semantics are taken from internal methodology notes; they vary by asset class and change between releases, and must be confirmed on the terminal before any parameter is written into a policy. Where PS26/17's narrative cites the new control provision as "COLL 6 Annex 5 paragraph 4.4G(5)", the made instrument places it at **COLL 6 Annex 5.17(5)**; this handbook uses the

instrument numbering. The FCA has said it will consult separately on notice periods and deferrals for authorised retail funds investing in inherently illiquid assets; that consultation had not been published when this was written.

Analysis, not authority. Fund A, including its overlay, is synthetic; the fifteen lines are archetypes, not real securities. Volatilities, spreads, capacities, participation caps and the impact parameters are illustrative and internally consistent, not calibrated to a real portfolio; every derived figure — the 24.58 bp factor, the £48,160 transfer, the 37.5% and 12.5% break points, the £14.8m collateral shortfall — follows from that one table and nothing else. Re-derive on real data before quoting any of them internally. The four failure definitions, the five bucket definitions, the five retrospective tests and every bracketed threshold are proposed constructions consistent with the guidance; the FCA prescribes none of them. All policy clauses are drafting support, not legal advice; where a clause paraphrases a Handbook provision, the provision governs.

THE TWO ERRORS MOST LIKELY TO SURVIVE THIS HANDBOOK

1. **Presenting a construction to the Board as a regulatory requirement.** Quarterly stress testing, the 60% profile constraint, the 25% participation fire-sale test and the bucket boundaries are constructions. Only the twelve items in Orientation C are rules.
2. **Building the LQA parameter set before confirming field semantics.** Everything downstream inherits a units error silently.

Prepared 3 September 2026. Sources: FCA PS26/17 and instrument FCA 2026/54 (fca.org.uk/publication/policy/ps26-17.pdf); CP25/38; FCA Dear CEO letter, Liquidity Management Multi-Firm Review, 6 July 2023; IOSCO, Anti-dilution Liquidity Management Tools — Guidance for Effective Implementation, and Revised Recommendations for Liquidity Risk Management for Collective Investment Schemes (May 2025); FSB revised recommendations on liquidity mismatch in open-ended funds (2023). Internal analysis and drafting support; not legal advice.